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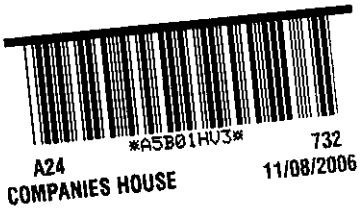
MFI Furniture Group Plc



MFI Annual Report 2005

This is the MFI we will become:

A leading provider of domestic kitchens, bedrooms and related products sold in ways that most customers want to buy.

This gives us a clear focus as we go forward.

We have reorganised into three separate businesses.

Trade (in the form of Howden Joinery) which concentrates on marketing and selling our products to the small builder.

Retail which concentrates on marketing, selling and delivering our products to consumers.

Supply which concentrates on design expertise, flexible outsourcing and manufacturing excellence.

This report is about the actions we will take during the next year to deliver our plan.

Chairman's statement 2005

These are the results for the 52 weeks to 24 December 2005. Pre-exceptional profit before tax has significantly reduced from £54.5 million last year to a loss of £0.6 million. Net exceptional costs of £110.2 million have been incurred (2004 – £33.9 million), bringing the total loss for the year to £110.8 million (2004 – £20.6 million profit). Turnover was up 2.5% against last year at £1,552 million (2004 – £1,515 million). The Board has recommended that no final dividend be paid.

A more competitive market and higher operating costs have put a light brake on growth at Howden Joinery, with pre-exceptional operating profits slightly up on last year. The fundamental deterioration in profitability has come from our UK Retail division, as it became clear that there were inherent problems within that business.

In October 2005, Matthew Ingle was appointed as the Group's new Chief executive. Matthew has demonstrated excellent leadership skills and a strong understanding of customer service at Howden Joinery. The division's excellent performance over the last five years speaks volumes for his abilities. I believe he has the qualities to make the radical changes we need at Group level, and that the performance since October 2005 supports this view.

Matthew's first move was to refocus on our three main business areas – Retail, Trade and Supply – and appoint a new management team with Steven Round appointed chief executive of the Retail business and Rob Fenwick as chief executive of the Supply business. Matthew continues as chief executive of the Trade business. The senior management team moved quickly to close a number of peripheral operations and reduce the Group's debt, while at the same time carrying out a fundamental review of the businesses.

The new team also focused on establishing financial stabilisation by reducing debt and restructuring the Group's borrowing facilities via a 3.25 year secured facility announced earlier this month. Since the year-end the

Our trade business, Howden Joinery, will operate independently under our new structure. This means that it's growth will not be restricted by other parts of the business. We know that Howdens is a very cash generative business, so that's what we are freeing it up to do.

debt position has further improved with the disposal of our French business and the settlement of the long-standing dispute with HM Revenue & Customs over the sale of some of our insurance products.

Howden Joinery is a strong business and we see a good year ahead. In 2006 it will build on its successful model and excellent customer relationships, with up to 30 new depots due to be opened.

We are starting to refocus the Retail business to be a national business selling domestic kitchens and bedrooms. We are trialling a local delivery centre model where the customer can pick up a product or pay for home delivery, making life easier for them and margins better for us.

Our Supply division is focused on becoming much more flexible so it can respond quickly to changing consumer demand and new product development, while delivering products at the right price. We have announced the proposed closure of two factories as we concentrate on what we do well and outsource other manufacturing to specialist suppliers around the world. We greatly regret the loss of jobs which these changes may involve, but we believe them to be right for the business. Speed-to-market, cost and quality will all be enhanced by better sourcing and distribution.

2005 Board changes

Mark Robson joined the Board in April 2005 as Chief financial officer. Mark spent the previous six years as Group finance director at Delta plc and was heavily involved in the restructuring of that group. This experience is enormously valuable to us.

Tony De Nunzio was appointed non-executive Deputy chairman in February 2005, having served as a non-executive director since September 2000. Paul Cheng, a Hong Kong-based business leader, was appointed to the Board as a non-executive director in August 2005.

There is no better place to trial our products than in real situations. That can be very expensive to set up. We have taken another route. Buy a house in need of renovation. Refurbish it using our products. Learn as we work. Sell the house at a profit. Start again.

John Hancock stepped down on 3 October 2005 as Chief executive officer, after seven years with the Group. The Board would like to thank John for his hard work and dedication to MFI over this time. Under John's leadership the Group developed new routes to market and supported the development and growth of Howden Joinery.

Mark Horgan resigned on 19 May 2005 to become Chief executive officer of The Number 118118. Shaun O'Callaghan resigned from the Board on 20 July 2005 to pursue other interests and Bob Wilson has decided to retire from his position of executive director with effect from April 2006. We are grateful to them all for their contributions over the years.

I would like to take the opportunity to thank the Board for their support and confidence, and I'd like to thank my colleagues both in the UK and in France for the exceptional commitment they have put into the business in 2005 and particularly during the difficult stabilisation phase.

Outlook

Trading conditions in 2006 are unpredictable. The robustness of Howden Joinery does help to give us stability, as management makes the changes necessary in retail and the supply chain.

In contrast to Howden's excellent relationships with small builders, we have struggled to connect with the changing expectations, tastes and needs of retail customers. As the restructuring process progresses, I believe a profitable retail business will emerge that is much more in tune with the market. There is a great deal to be done, but I am confident we can, and will, reinvigorate MFI.

Ian Peacock
Chairman
28 February 2006

How can we make our retail business profitable again? 250,000 customers visiting our stores every week is evidence that the business has great potential. At the moment we only talk to 40% of those visitors. Guess what the first thing we are changing in stores is?

Chief executive's review 2005

Since last October, we have stabilised and refocused MFI. We have reconstructed the Group around three separate businesses – Trade, Retail and Supply. Each of the three now has its own CEO, with real control and the responsibility to reduce costs, grow sales, generate cash and improve margins. To maximize our focus on our principal businesses we have closed or sold peripheral ones, including our Retail joint venture in Taiwan, the Howden pilot in the USA, Ethan Allen and Hygena Cuisines in France. We have announced our intention to dispose of Sofa Workshop. We have refinanced the Group via a new banking facility that will allow us to focus our efforts on the continuing growth of Howdens in a stable situation, the turnaround of Retail and the development of flexible sourcing. And we have reached an agreement with the Pension Trustees and The Pensions Regulator that provides an orderly way to bring the Group's pension deficit under control.

Howdens is a very cash-generative business. We intend to build on its success by continuing to expand in three main ways. These are, firstly, new depots in new locations, of which we plan to add about 30 each year. We have already taken on staff to open that number in 2006. Secondly, we will be extending depots, where appropriate; and finally, we will also be introducing new product ranges, supported by new and better catalogues and DVDs. Howdens is a business that is built on relationships – with customers, staff and suppliers. That is the key to its continuing success.

The Retail business is now focused on what it does best – kitchens and bedrooms, which already contribute approximately 80% of its gross profit. Retail sells 6,000 kitchens and 6,000 bedrooms each week, making it a major player in the UK market. We have identified a significant opportunity to improve this business, by taking action in three main areas – product, service and delivery.

Within Retail there is a great business waiting to get out. The quality of our product is good, but it's other aspects of our offer that needs attention; service, delivery and availability to name three. Good product, poor service is not something customers tolerate. We are putting that right.

Firstly, we plan to serve a broad market, concentrate on well-designed kitchen and bedroom ranges that deliver good margins. Good design is not the preserve of the rich. Sensible margins are, however, essential if we are to create a profitable business; which means we will not seek to compete at the bottom end of the market with companies whose cost structure and service proposition is very different to our own.

Service can and should be a key driver of sales, margin and cost control in the Retail business. At present 250,000 people visit our stores every week. Around 60% of them are not approached by our staff. That opens up a huge opportunity for improvement. We are reinstating training to make sure all our customers get informed advice, professional planning and suitable delivery arrangements.

Delivery has caused major problems in Retail. Last year, only 40% of deliveries were successful – ie delivered on time and in full. We discovered that in 2005 it cost the Group £36 million to correct what should have been avoidable mistakes. We are developing a new delivery model that enables sales staff, planners and fitters to co-ordinate what they are doing, locally. The model is designed to address the issue of 'one item missing' – which in the customer's eyes isn't a problem, it's a crisis. The only place to solve it is as close to the customer as possible. Efficient delivery drives lower costs and higher margins as well as making for happier customers and staff.

Alongside these changes in our Retail business, we plan progressively to reshape our property portfolio. Our aim is to achieve, at optimal cost, the right number of stores of the right size in the right locations. We are not yet in a position to define these numbers, as we have yet to assess the impact of the refocused product offer, service proposition and delivery model. We are conducting a store-by-store property review and will update shareholders on progress at the time of our interim results announcement in July.

Evidence shows that we are living busier lives, with more personal belongings, in smaller homes. As a result, the market for storage solutions remains strong. When people think about bedrooms, they think of MFI. Two reasons why we remain committed to this area.

Our strategic review highlighted the fact that our Supply activity had become uncommercial. Fashions in kitchens and bedrooms change much faster than they used to. Product lifecycles are now down to two or three years, rather than a decade or more. Our factories, designed in the early 1980s for long runs of few items, could not flex enough to cope with changing demands. Product proliferated as volumes of each item declined. Very poor product forecasting led to significant additional inventory and associated costs.

We decided that the Supply business needs to be completely reshaped around flexibility, design expertise, global sourcing opportunities and, where appropriate, manufacturing excellence. We propose to close two door and appliance factories, and are rationalising the number of product ranges so that we can focus on those that deliver good margins. We have already started to source a higher proportion of product from overseas, where we can buy product with better specifications, at a better price, on better terms, than we can achieve in the UK. By the end of this year we plan to increase the proportion of bought-in product from 50 to 75%. We already have proven supply routes and can use our scale to advantage. We plan to continue rigid and flatpack cabinet manufacture in the UK, focusing on making sure we can produce quality product close to our market at competitive prices.

The changes we are making to our Supply business will result in lower costs, more fashionable product, better speed-to-market and less working capital.

We are in the early stages of a major turnaround programme; 2006 is a year of transition. There is a lot to do to put the Group on the right track for the future, and it will take time. Having said that, already this year we are in line with our plan. Howdens is back on the path of expansion, Retail margins are improving and Supply can again operate on a commercial basis. Staff across the Group are motivated to address the exciting and surprising possibilities that are being revealed by our new structure.

Matthew Ingle
Chief executive officer
28 February 2006

Free home delivery is expensive. Especially when it goes wrong. Early trials suggest a better way. Local depots hold stock. Customers can collect themselves, or pay for delivery. This new local depot is in Nottingham and it's working.

Operating and financial review 2005

1. FINANCIAL RESULTS

The results for the year can be summarised as follows:

TURNOVER

	2005 £m	2004 £m	Increase %	Same store increase %*
Howden Joinery	617.8	559.1	10.5	6.8
UK Retail	787.8	825.1	(4.5)	(5.1)
France Retail	133.3	119.4	11.6	8.8**
Howden Millwork	9.3	7.3	27.4	n/a
Other operations	4.0	3.7	n/a	n/a
Group total	1,552.2	1,514.6	2.5	0.7

* Same store sales include refurbishes and extended/downsized stores but exclude new, closed and relocated stores.
** In local currency.

PROFIT BEFORE TAX

	Pre-exceptional items 2005 £m	Exceptional items 2005 £m	Post-exceptional items 2005 £m	Pre-exceptional items 2004 £m	Exceptional items 2004 £m	Post-exceptional items 2004 £m
Howden Joinery	103.6	0.7	104.3	102.8	2.5	105.3
UK Retail	(85.1)	(94.9)	(180.0)	(31.3)	(14.0)	(45.3)
France Retail	4.2	(0.3)	3.9	2.0	(0.4)	1.6
Howden Millwork	(6.9)	–	(6.9)	(8.6)	–	(8.6)
Other operations	(3.8)	–	(3.8)	(0.6)	–	(0.6)
Stock provision	–	(34.0)	(34.0)	–	–	–
Restructuring costs	–	(3.4)	(3.4)	–	–	–
Net pension credit	–	40.1	40.1	–	–	–
Asset write down	–	(14.9)	(14.9)	–	(20.0)	(20.0)
Operating profit	12.0	(106.7)	(94.7)	64.3	(31.9)	32.4
Joint venture losses	(1.5)	–	(1.5)	(2.1)	–	(2.1)
Net interest	(2.3)	–	(2.3)	(2.3)	–	(2.3)
FRS 17 finance charge	(8.8)	–	(8.8)	(5.4)	–	(5.4)
(Loss)/profit before tax and profit/(loss) on disposal of fixed assets	(0.6)	(106.7)	(107.3)	54.5	(31.9)	22.6
Profit/(loss) on disposal of fixed assets	–	17.4	17.4	–	(2.0)	(2.0)
Provision for closure of operations	–	(20.9)	(20.9)	–	–	–
(Loss)/profit before tax	(0.6)	(110.2)	(110.8)	54.5	(33.9)	20.6

We, as a customer, demand more from our kitchens and bedrooms today. More design, more features and fast response *to fashion change. MFI is alive to global design and sourcing* opportunities. 'Good design is not the preserve of the rich'.

The Group was cash generative in the year, with a corresponding reduction in net debt:

CASH FLOW

	2005 £m	2004 £m
Operating cash inflow	24.0	66.7
Capital expenditure	(47.9)	(82.8)
Fixed asset disposal proceeds	57.4	8.2
Interest, tax, dividends and others	(26.8)	(64.9)
Cash generated/(consumed) in year	6.7	(72.8)

2. OPERATIONAL REVIEW

HOWDEN JOINERY

Howdens has made good progress during the year, despite more difficult trading conditions. Sales were up 10.5% to £618 million (2004: £559 million), with operating profits before exceptional items up 0.8% to £103.6 million on the FRS 17 restated pre-exceptional profits last year (2004: £102.8 million). Same depot sales growth was up 6.8% for the same period last year.

Despite more demanding market conditions, gross margins have increased by 1.1%. The inevitable cost increases, primarily investment in staff, a £6 million increased pension charge referred to in last year's annual report and £5 million higher logistics costs from working time directive and fuel increases, have resulted in operating margins falling to 16.8% compared to 18.4% last year.

The Howden Joinery franchise has continued to strengthen through the build up and maintenance of relationships with small builders, based as always on trust and reliability. A net 5,000 new accounts have been opened in the year, bringing the total to 175,000 accounts; 60% of these accounts have been active in the last three months. A new kitchen catalogue and a DVD, produced in the year to support sales, have both been well received by our customers.

The business is highly cash generative with a raised pre-exceptional operating profit, low capital expenditure and reduced stock levels. £9.1 million of capital expenditure was spent in the year to extend 38, open 22 and relocate nine depots. 342 depots were trading at the end of 2005.

UK RETAIL (INCLUDING SOFA WORKSHOP)

Total sales fell 4.5% to £788 million (2004: £825 million) and were 5.1% down on a same store basis. First half sales were up 3.2% at £429 million (2004: £416 million), as we set highly competitive pricing to re-establish the customer franchise following the customer service issues in 2004. Second half sales were down 12.4% at £359 million (2004: £409 million) as market conditions became more demanding. As at the year-end, UK Retail traded out of 194 out-of-town stores, 21 high street stores, nine clearance stores and 29 Sofa Workshop high street stores.

Gross margins were 0.7% lower due primarily to the drive for sales volume for the 2005 Winter Sale. Gross margin in the weeks following the change of management in October rose 2.5% with more successful new product introductions and a more focused promotional programme.

It makes no sense to ship cabinets full of air around the world, when we can make this element of our product cost effectively here in the UK. Our supply business will only manufacture products where it is appropriate to do so in the future.

Pre-exceptional operating losses were £85.1 million, up from a £31.3 million loss last year. The majority of this increased loss can be attributed to the cost increases identified in the last annual report – namely £9 million rent and rates, £11 million pensions, £4 million supply chain stabilisation and £8 million for working time directives, other logistics costs and increased depreciation. In addition we have spent an extra £6 million on direct advertising, as mentioned at the Interims.

The new Customer Charter incorporated new guidelines on service and has enabled us to recover costs by charging for delivery, and by making additional charges to customers for changing delivery dates and cancelling orders. This, together with other cost savings initiatives, has totalled £23 million, but partially offsets the loss of gross profit arising from lower gross margins and falling sales.

FRANCE RETAIL

Sales in France, at £133 million, were up 11.6% on last year (2004: £119 million) with same store growth of 8.8% in local currency. Pre-exceptional profits were £4.2 million compared to £2.0 million pre-exceptional profit for the same period last year. These results reflect further benefits from the store refurbishment, reduced cost of failure and infrastructure investment over the past two years. As at the year-end, France traded out of 138 stores, 110 out-of-town stores and 28 malls.

On 14 February 2006 we announced the simultaneous exchange and completion of the disposal of this business to Nobia AB for total gross cash proceeds (before expenses) of 135 million euros. The Group will continue to supply Hygena Cuisines with kitchen furniture products for a term of three years after completion.

SUPPLY

The Asian sourcing Joint Venture has continued to make progress with the value of product sourced from Asia increasing from £5 million in 2004 to £20 million in 2005. These sourced products provide a significant gross margin benefit for the Group.

During 2005 we developed and introduced 20 new kitchen and bedroom ranges, including two new 'floor to ceiling' bedroom systems. We also extended our appliance offering in areas such as American-style fridges, Range cooking and small domestic appliances.

2005 saw the first full year of operation of our £6 million panel machining line at our Runcorn factory. This helped us supply over four million cabinets from the site in the year, maintaining our premier position in cabinet manufacture. We also invested £7 million in a new worktop production line, significantly increasing our capacity and capability in this key product area.

As customer service stabilised during the year, we were also able to make significant progress in reducing the stock levels. Excluding the exceptional provision, stock levels were reduced by £31 million over the year from better stock management and from exiting peripheral businesses.

3. FINANCIAL REVIEW

GROSS MARGIN

The Group's gross margin was marginally higher at 50.0%, compared to 49.6% last year. This reflects an improved gross margin (0.6 percentage points impact to the Group) at Howdens, offset by a reduction in the gross margin in UK Retail (0.2 percentage points impact to the Group). The reduction in UK Retail gross margin reflects the deliberate policy during the 2005 Winter Sale, following service issues in 2004, to re-establish the customer franchise with highly competitive pricing. The UK Retail gross margin in the second half was level with the previous year.

OVERHEADS

We highlighted last year that costs for UK Retail would increase significantly. This, together with rising staff, pension and logistics costs in Howden Joinery, has resulted in pre-exceptional selling, distribution and administrative costs rising by £77 million for the Group in the year.

OPERATING EXCEPTIONAL ITEMS

	UK Retail £m	Howden Joinery £m	France Retail £m	Total £m
Structural guarantee (note A)	38.7	–	–	38.7
Insurance (note B)	(3.0)	–	–	(3.0)
UK Retail fixed asset impairment (note C)	42.4	–	–	42.4
Sofa Workshop goodwill impairment (note C)	13.0	–	–	13.0
Supply chain disruption (note D)	5.1	–	0.3	5.4
Share scheme amortisation (note E)	(1.3)	(0.7)	–	(2.0)
Sub-total	94.9	(0.7)	0.3	94.5
IT system impairment (note C)				14.9
Stock provision (note C)				34.0
Restructuring costs (note D)				3.4
Net pension credit (note F)				(40.1)
Total				106.7

A. Structural guarantee

On 26 January 2006 the Group and HM Revenue & Customs reached agreement to settle the long-standing £60.5 million dispute over VAT on some of the Group's insurance-backed structural guarantees. As a result the Group received £21.8 million from HM Revenue & Customs on 14 February 2006. The Group has written off the remaining receivable of £38.7 million in the 2005 accounts.

B. Insurance

Part of the structural guarantee insurance programme undertaken by the Group's captive insurance company – Southon Insurance – was novated to an external insurance company at the end of the year: this transaction generated an underwriting profit of £3 million, with funds being released from escrow for general corporate use.

C. Impairment provisions

In response to poor trading, the Group has reviewed the carrying value of certain assets within the UK Retail business. As a result, a £42.4 million impairment has been made for UK Retail fixed assets. A further £14.9 million has been provided against the IT system (£20 million was written off in 2004) and £13.0 million has been provided against the goodwill relating to the Sofa Workshop acquisition. Stock valuations have also been reduced by £34.0 million across the Group for clearance of excess stock and for obsolete and slow-moving stock. In total these asset impairments amount to £104.3 million.

D. Supply chain disruption and restructuring costs

During the year the Group has incurred additional supply chain costs totalling £5.4 million; these are primarily consultant costs carried over from 2004 to repair the system-related issues. In addition in 2005, £3.4 million was spent on restructuring and refinancing the Group.

E. Share schemes

There has been a £2.0 million net credit in respect of share scheme amortisation and associated national insurance (2004: £7.5 million).

F. Pensions

As at 25 December 2004 the pre-tax deficit in the Group UK pension plans included the additional liabilities announced on 6 May 2004 arising from a failure to equalise the pension age for men and women at age 65. Under FRS 17 valuation methods, these additional liabilities were estimated at £50 million. In May 2005 the

Group wrote to certain members of the UK pension plans offering them a cash payment in exchange for giving up any claim a member may have to possible additional pension benefits arising from the equalisation issue. Approximately 90% by value of those to whom the offer was made accepted the cash option, and the additional liabilities were therefore reduced from £50 million to £5 million. The aggregate cost of the cash offer was £16.9 million including £0.9 million in fees.

On 14 March 2005 the Group announced that a £12 million cash settlement had been received from one of the third parties on whose advice the Group and the pension plan trustees had relied. The total net credit taken through the profit and loss account arising from these pension issues is £40.1 million.

EXCEPTIONAL ITEMS

A. Profit on disposal of fixed assets

A £17.4 million profit on disposal has been generated from the sale and leaseback on six of our freeholds (Inverness, Lewisham, Isle of Wight, Brighton, Poole and Norwich) and the outright sale of one non-trade property (Inverness).

B. Closure of peripheral operations

During the year the Group has committed to close several of its peripheral operations. In May 2005, the Group entered into an agreement with DSG Plc to end the venture, Hygena @ Currys. In December 2005, the Group announced the sale of its 50% interest in the Taiwan joint venture to its Taiwanese partner and announced the closure of the UK joint venture with Ethan Allen and the US pilot operation – Howden Millwork. The total exit cost of these ventures, including future operating losses, has been estimated at £20.9 million of which £6 million will be paid in cash.

TAX

The current tax charge of £1.5 million represents tax payable in France. Prior year movements and deferred tax account for a further £6.3 million of tax charge. There are trading tax losses within the UK Retail company to carry forward against future profits within the UK Retail trade.

DIVIDEND

In the light of the results for the year as a whole, no final dividend (2004: 2.0 pence) has been declared. An interim dividend of 2.0 pence (2004: 2.0 pence) was paid in October 2005.

PENSIONS

The preliminary results of the valuation due at April 2005 have now been received and show a funding deficit, after the recent compromise with members had been completed, of £182 million.

The management have been in discussions with the Trustees regarding the future of the pension plan and how to clear the deficit. Agreement has now been reached that a revised design for the pension plan will be effective from September 2006. It is intended that the current scheme design, under which benefits are based on final salary at retirement, will be replaced with a contracted-in hybrid scheme under which a small core pension will be based on career average earnings, with an optional top-up defined contribution account. The effect of the revised plan is to further reduce the funding deficit by £32 million to £150 million based on 5 April 2005 actuarial assumptions.

As part of the new secured lending facilities announced on 17 February 2006, the Company and the Trustees together with The Pensions Regulator have reached agreement with regard to the funding of the remaining deficit. It is intended to clear it over a period of 10 years. The Trustees have been granted security over the Group's shares in Howden Joinery Limited. An amount of £35 million per year has been included within the budgeted cash flows for ongoing pension costs and clearance of the deficit over 10 years.

The Group's balance sheet pension accrual at the year end 2005, calculated on FRS 17 principles, reflects the up-to-date position at that point and does not take into account any of the changes to the plan that will be taking place during 2006. The accounts show a small increase in the pre-tax FRS 17 accrual from £295 million

to £296 million, despite the £45 million reduction in the liabilities arising from the successful conclusion of the compromise exercise for the Normal Retirement Date issue. This predominantly reflects the continuing fall in bond yields over 2005, with a smaller increase due to increased life expectancy assumptions.

RESERVES

On 28 October 1993, the parent company obtained a Court Order to reduce its share premium account and cancel its capital redemption reserve to create a £482.6 million special reserve, against which goodwill arising on consolidation would be written off.

This Order provided that the special reserve would be treated as an undistributable reserve for as long as there remained any outstanding debts or claim against the company. On 18 July 2005 this undertaking was released in full. At the year-end, the parent company had distributable reserves of £537.1 million.

CASH FLOW

Despite a poor profit performance, the business was cash generative with net debt reduced by £6.7 million in the year. Operating cash inflow in the period before exceptional items was £43.2 million, compared to £109.3 million last year.

	2005 £m	2004 restated £m
Operating profit before exceptional items	12.0	64.3
Depreciation and amortisation	66.1	57.8
EBITDA	78.1	122.1
Working capital and pensions	(34.9)	(12.8)
Adjusted cash inflow – operating	43.2	109.3
Cash outflow – operating exceptionals	(19.2)	(28.1)
Cash outflow – VAT re structural guarantee	–	(14.5)
Adjusted operating cash inflow	24.0	66.7

Capital expenditure in the year totalled £47.9 million. This has been more than offset by £57.4 million proceeds from the sale and leasebacks on six of our freeholds and the outright sale of one property.

	2005 £m	2004 £m
Howden joinery	9.1	6.0
UK Retail	17.0	39.9
France Retail	3.9	7.8
Howdens – US and France	3.0	0.1
Total routes to market	33.0	53.8
Manufacturing	7.8	14.9
Systems	6.0	9.7
Logistics	1.1	4.4
Gross	47.9	82.8
Disposals	(57.4)	(8.2)
Net	(9.5)	74.6

The total movement in the net debt position comprises:

	2005 £m	2004 £m
Opening net (debt)/cash	(62.2)	10.6
Operating cash inflow	24.0	66.7
Net capital expenditure	9.5	(74.6)
Investment in own shares	–	(7.6)
Investment in joint venture	(1.2)	(1.1)
Taxation	(3.4)	(33.7)
Dividends	(23.4)	(23.2)
Net interest payable	(2.3)	(1.4)
Issue of shares and others	3.5	2.1
Closing net debt	(55.5)	(62.2)

4. TREASURY POLICIES, FINANCING AND FOREIGN EXCHANGE

Treasury operations are managed within policies and procedures approved by the Board. The major financial risks to which the Group is exposed relate to movements in exchange rates and cash management. Where appropriate, the Group uses financial instruments to manage these risks. No speculative use of derivatives, currency or other instruments is permitted. The Treasury function does not operate as a profit centre and transacts only in relation to the underlying business requirements.

LIQUIDITY AND FUNDING

At 24 December 2005 the Group had net borrowings of £61.0 million (2004 – net borrowings of £71.6 million). This shows a reduction of net borrowings of £10.6 million during the year, but is struck after selling some freehold properties for £57.4 million. In addition the Group held £5.5 million (2004 – £9.4 million) on short-term deposit, held in escrow for future insurance claims.

The Group had a £185 million revolving credit facility with six major relationship banks during the year; this was drawn down £150 million at the year-end and had a 4.25 year maturity period to March 2009. Since the year-end the Group has cancelled this loan and replaced it with a £150 million secured facility with a 3.25 year maturity period to May 2009. This has been negotiated with the approval of The Pensions Regulator.

CASH MANAGEMENT

Group treasury policy on investment restricts counterparties to those with a minimum Standard and Poor's/Moody's long-term credit rating of AA and a short-term credit rating of A1/P1. Investments mainly consist of bank deposits and certificates of deposit. The Group continuously reviews the credit quality of counterparties, the limits placed on individual credit exposures and categories of investments.

CURRENCY RISK MANAGEMENT

Currency movements can affect the Group's reported profit. The Group had a policy of hedging most of its foreign currency denominated transactions in the year by entering into forward foreign exchange purchase contracts. As at 24 December 2005, 90 million euros and 30 million US dollars had been protected for 2006.

Following the adoption of International Financial Reporting Standards, it has become more difficult to ensure the ability to hedge account for foreign exchange transactions through the profit and loss account. As the resultant volatility cannot be avoided in the profit and loss account, it is the view of the Board not to take out further forward foreign exchange contracts. This policy will be reviewed on a regular basis.

5. ACCOUNTING POLICIES AND INTERNATIONAL FINANCIAL REPORTING STANDARDS (IFRS)

The principal accounting policies used by the Group are shown on pages 63 to 65. In June 2002, the European Union (EU) approved a regulation that will require all listed EU companies to prepare consolidated statements in accordance with IFRS. The regulation applies to all accounting periods beginning on or after 1 January 2005. MFI's accounting period started on Sunday 26 December 2004 and, as a result, the first accounting period for which the Group will prepare accounts under IFRS will be the financial year 2006. The key areas likely to affect MFI are as follows:

PROPERTY LEASES

The definitions of finance and operating leases are different between UK GAAP and IFRS. Under UK GAAP, all our property leases are currently treated as operating leases. Under IFRS some companies will have to reclassify some of their operating leases as finance leases (which would require a financial liability and corresponding asset to be recognised on the balance sheet). We have carried out a preliminary review of our lease portfolio, and indications are that the treatment of nearly all of *our current leases will remain unchanged, other than an adjustment for stepped rents and lease incentives.*

SHARE-BASED PAYMENTS

The Group has established various share incentive schemes for the benefit of Group employees. Under UK GAAP, we charge the intrinsic value of the grant, at the date of the grant, to the profit and loss account. The result of this is that we take a charge for grants of share awards but take no charge for grants of share options (as the option price which will be refunded to the Company by the employees is equal to the intrinsic value of the grant). Under IFRS, the Group will be required to calculate a fair value for each option and each award, and to charge that fair value to the profit and loss account over the life of the option. Together with our advisers, we are carrying out a preliminary assessment of what we expect the future charge to be under IFRS. Indications are that it will not be material (circa £1 million charge).

FOREIGN EXCHANGE HEDGING

The Group uses derivatives to manage its currency risk. Under UK GAAP, the derivatives are not valued when they are hedges and any profit or loss is recognised in the profit and loss account consistently with the underlying hedged transaction. Under IFRS we will have to value the hedges and include them on our balance sheet. Unless the derivatives pass restrictive tests and qualify to be treated as hedges under the IFRS rules, any unrealised profit or loss on each hedge will have to be taken through the profit and loss account at each period end. As a result, there may be more earnings volatility under IFRS.

DEFERRED TAXATION

Under UK GAAP, deferred taxation is provided on all timing differences, except those that relate to revaluations where no sale is in process or where it is probable that rollover relief or capital losses will be applied to the gain. Under IFRS, deferred taxation is usually provided on the differences between the book and tax bases of assets and liabilities. Additional deferred tax liabilities required under IFRS for property revaluations and rollover relief claimed to date are likely to raise the deferred tax creditor, although this work cannot be finished until the Group's corporate restructuring is concluded.

DIVIDENDS

UK GAAP requires proposed final dividends to be accrued. IFRS requires recognition of the liability to pay a final dividend only when this has been approved in advance of the year-end. This will lead to an increase in net asset value at the year-end, as the final dividend will not have been approved by shareholders at that point in time.

PENSIONS

IAS 19 on pensions is broadly consistent with the UK pensions standard, FRS 17, which the Group has adopted in 2005. Consequently, we anticipate little significant change on adopting this standard.

Mark Robson
Chief financial officer
28 February 2006

Corporate and social responsibility

INTRODUCTION

The Group continues to recognise its actual and potential corporate and social responsibilities to society and acts in a strategic way to implement them. Relevant laws and regulations are considered a starting point from which responsible behaviour can build. We have over the last year, developed our CSR reporting to cover some wider issues and in a little more detail than previously. As promised last year we have included CSR reporting on our corporate website with more detail being accessed through the London Stock Exchange Corporate Responsibility Exchange.

Our areas of responsibility are organised and described under four headings:

- Marketplace
- Environment
- Workplace
- Community

I. MARKETPLACE

CUSTOMERS

Our continued aim is to help more people live better lives in their homes and as such we have strived to improve our customer's experiences with us over this last year. We have improved the home planning process with CAD design enhancements. For those customers who utilise our installation service we have introduced pre fit surveys and "day one visits" to check how things are going on the first day of the actual installation. We have increased the focus on store engagement of potential customers as they look around our stores. Stock accuracy and availability has improved and this has resulted in fewer incomplete deliveries. The service recovery process has improved to include same day and next day courier recovery. In addition we have increased our focus on quality and damage issues be it from the supplier, in our own manufacturing plants or in the transit process to the customer. We have increased the staffing at our UK call centre to deliver industry standard service levels; in fact we were runner up in this year's North East Call Centre of the year award.

As buying a new kitchen is a once "every few years experience" and each customer has different requirements for their order we have introduced a "Customer charter" in order to simplify and help the customer through the process with the least amount of confusion. As a result of this and all the other improvements made this year we have reduced the cost of failure to both the business and the customer.

SUPPLY CHAIN

Sourcing goods from China

The vast majority of goods sourced from China for the MFI Group are done so through our new joint venture company known as MFI Asia Ltd. MFI Asia primarily selects vendors who solely manufacture for export markets. These vendors source the majority of their raw materials from outside of China and then export the finished products away from the Chinese domestic market.

Before a new vendor is selected by MFI Asia, a cross-functional team will visit the vendor's factory to check the product specification, quality, environmental aspects and ethical issues of each factory.

When Leonard Cheshire Homes, a charity that houses disabled people, approached us, they were paying for bespoke kitchens for their residents. We were delighted to help by adapting standard kitchens for their use. It's been a valuable learning experience for our product development.

As frequent orders are placed on a vendor MFI Asia quality and technical staff will spend considerable time working in the vendor's factories to ensure that the standards required by MFI are maintained. Anything that is identified as requiring attention is discussed with the factory management at the time.

In July 2005, MFI Asia launched its ethical and environmental questionnaire process to the supply base at our annual vendor conference. Since July 25% of the supply base has been reviewed and follow-up activities undertaken to address any issues raised.

As part of our improvement programme it is planned to undertake unannounced audits in the future starting in 2006 to check that the factories continue to comply with the expected standards even when not producing MFI products.

Reduction in supplier vehicle movements

We have instigated a new system of deliveries of laundry and refrigeration appliances into our warehouses for 2006 that will reduce vehicle movements by over 400 per year.

By reconfiguring the way we get our suppliers to stack the appliances, we can not only maximise the space in a trailer but can also reduce the possibility of damage whilst in transit. We are looking to follow this concept with other products during this year.

Distribution

Due to the vertically integrated nature of the business, the Group's distribution system remains complex. We currently operate 170 HGV's and 380 rigid vehicles and Vans endeavouring to run them as efficiently as possible. Last year we planned to replace 30 HGV's with the new Euro 4 engines; however these new engines are still to be released for sale. As a consequence we will review changes to the fleet this year.

We are significantly reducing the amount of empty running of trailers and are developing backhaul opportunities to facilitate this. We are also implementing a new transport management system in order to further improve our fleet efficiency and reduce our CO_2 emissions and enhance our environmental footprint in this area.

Wood

Approximately 80% of the Group's raw materials for manufactured products are wood or wood fibres. In 2005 we used 418,816 cubic metres of wood in the form of chipboard (302,362 cubic metres), MDF (115,299 cubic metres) and solid wood (1,155 cubic metres). All of the wood used by us to manufacture products came from sustainable sources. We also used 7,995 tonnes of cardboard packaging for our manufactured products.

To ensure a sustainable future for the business it is important that we source our wood in an environmentally and socially sustainable manner. Wherever possible we specify the FSC (Forest Stewardship Council) or PEFC (Programme for the Endorsement of Forest Certification Schemes) schemes as the preferred options. The wood products used were 69% FSC and 31% PEFC accredited. The cardboard packaging is 100% FSC accredited.

Within the ethical sourcing policy we reserve the right to audit suppliers and this is especially so for the chain of custody for wood and wood products.

II. ENVIRONMENT

We are committed to preserving the natural environment and our key objectives in this regard are to:

- reduce consumption;
- re-use or re-cycle wherever possible.

This year has seen the introduction of an Environmental manager to co-ordinate our activities in this area.

This role will specifically:

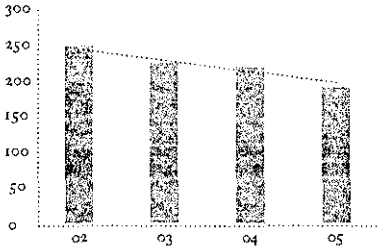
- measure progress by setting key performance indicators;
- continue working towards re-accreditation of the environmental management systems (ISO 14001) in the manufacturing division;
- work closely with our suppliers to ensure that items we purchase come from sustainable renewable resources and are produced in a socially responsible way;
- ensure that our policy is up-to-date and relevant to our business and is used throughout the organisation in training and general business undertakings; and
- ensuring that we simplify and standardize all of our procedures to enhance the way we operate in this field.

ENERGY

We have been active in measuring and reducing our energy use. Our retail stores in the UK have been re-awarded the Institute of Energy's prestigious Energy Efficiency Accreditation, having first been accredited in 1996 and again in 1999, 2002 and 2005.

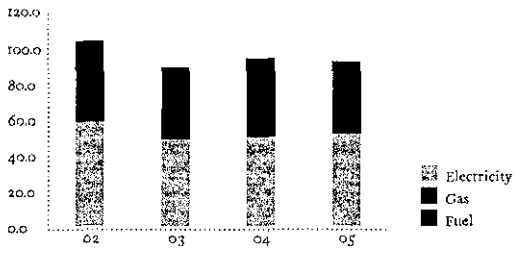
We are continuing to install Building Energy Management Systems in all new stores and are monitoring energy performance in all stores. Our framework agreement with the Carbon Trust has allowed us to take advantage of their services and we have undertaken a scoping study in preparation for embarking on a fuller 'Carbon Management' process within our manufacturing division during 2006.

Energy Use (KWH per £1000 turnover)



Electricity, gas and fuel consumption result in the emission of CO_2, a greenhouse gas that research indicates contributes to climate change. CO_2 emissions in 2005 totalled 146,902 tonnes representing a decrease per million pounds turnover by 1.5 tonnes over the last 12 months, continuing the improving trend. The principal source of emissions is from the use of electricity, and the increase in transport fuel is due mainly to supply chain issues during the year.

CO_2 Emissions per £1m turnover



The Group has made considerable efforts to reduce energy consumption over the past ten years, an effort that has been recognised by the Carbon Trust in publicity throughout 2003, 2004 and 2005. In addition, all of our sites last year purchased 'brown' electricity from semi-renewable sources and as such is exempt from the Climate Change Levy. We will continue to use such sources where available and commercially viable.

WASTE

As a Group we have created a total of 72,000 tonnes of waste over the year from a combination of manufacturing, distribution, retail and trade operations. We have succeeded in re-cycling over 60% of this total through a raft of different initiatives and avoiding a potential extra cost of £750,000 by diverting it from landfill. Included in this figure is the repair, re-use and re-cycling of over 5,000 damaged appliances that have either been sold through our clearance stores, sent to an exporter to Africa, sold to employees or fed back into the product stream.

The success in increasing the re-cycling rate from 40% to 60% over the last two years has been as a result of a concerted push to find different outlets for the waste streams. We have continued to use the waste wood, in sawdust form, for compost production. Other uses of wood have been for mixing with a major water company's sludge to provide the basis for another form of compost. We have also been maximising the amount of waste that is processed through local Material Re-cycling Facilities (MRF's).

In addition to the figures above, we continue to run eight bio-mass boilers in the manufacturing plants producing heat for the manufacturing process and also space heating for the factories.

ENVIRONMENTAL MANAGEMENT

Business in the Community (BITC)

This year we have taken part in the BITC's 'seeing is believing' visits to see practical demonstrations of their work. We also have been involved with the Yorkshire & Humberside Region's leaders group to come up with an environmental strategy for the region. We also took up full membership of the BITC this year and look forward to working more closely with them over the coming year.

In terms of the BITC's Business in the Environment index we have improved our scores from last year to achieve a score of 92.5%. In addition to this we have also been re-accredited to the FTSE4Good Index.

London Stock Exchange Corporate Responsibility Exchange

We have signed up to this database system to further enhance our CSR reporting. The database accessed through the LSE will give a detailed breakdown of all policies and processes associated with our CSR policy. In addition some reports have been exported to our corporate website to show the type of information now stored on the database.

III. WORKPLACE

We continue to be a major employer of several thousand people with diverse skills and experience in retail, trade, logistics and manufacturing.

The increasing competitiveness in our markets in 2005 has required colleagues in both retail and trade to find new ways to improve the products and services we offer our customers.

Our people have taken all this in their stride and they deserve to be recognised for their enthusiasm, ideas and commitment to meeting the needs of over one million customers in 2005.

DIVERSITY

Our 'Respect for all' programme continues. This programme was initiated to gain a better understanding of the make up of our people, how we might better reflect the UK population as a whole and the communities in which we work, and to develop colleagues understanding in the area of Diversity.

We believe that our colleagues' abilities and achievements should solely determine their recruitment, career success and progression. This applies to all colleagues regardless of age, race, gender, disability, sexual orientation, religious belief, lifestyle, class or other method of discrimination.

LEARNING AND DEVELOPMENT

In such a high service business where great customer relationships are vital to success, investing in the training and development of our people continues to be a high priority for us.

In retail, to help drive the required performance improvement in store operations and the commercial function, we are investing over £1 million more than last year in sales and management training. This will be achieved through setting up a training academy, which will consist of store-based centres of excellence, and led by experienced sales management. Our approach represents a major commitment to our people, and we are confident it will effectively embed new sales and service standards throughout our store network.

Within the Howden joinery business we have invested over £3 million in over 37,000 hours of training. This covers subjects ranging from 'interview techniques' to 'fork lift trucks' and 'diversity for all' to 'health and safety'. It also covered specific skills like CAD systems and inventory management. The plan is to invest in training to the same degree in 2006.

Within our manufacturing and sourcing division we aim to provide total kitchen, bedroom and appliance supply solutions in a superior, faster and cheaper way than our competitors. Key to our business success is the need to develop high skills, knowledge and capability of our workforce. In the following year we will work towards our manufacturing workforce achieving lean manufacturing techniques and increasing the knowledge of our technical and product teams in international sourcing capability.

NEW COLLEAGUE BENEFITS

To recognise the hard work of colleagues across the Group in the last year, and to continue to enhance our ability to attract new talent to the Group, we have introduced a new range of benefits for colleagues across the Group including access to childcare vouchers, a Colleague Assistance Programme offering advice and guidance on a range of subjects, enhanced paternity leave and a range of discounted colleague benefits.

HEALTH & SAFETY

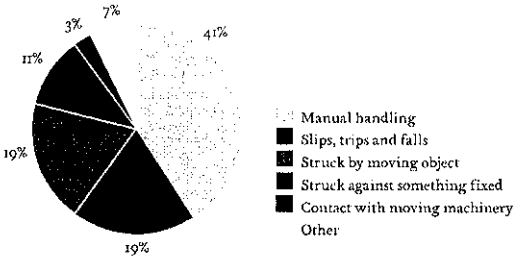
We are continuing to develop the safety culture of the business such that each individual understands their responsibilities regarding health & safety. A lot of progress has been made this year towards the embedding of health & safety to line management and this is set to continue over the coming year as we continue the culture change within the business. The health & safety team works closely with line management to support this approach.

Our occupational health service has developed to support the needs of the manufacturing division in their drive towards effectively managing sickness absence within the factories and the introduction of a series of pro-active services. This has been expanded for 2006 to include a hands-on approach to our warehousing and home delivery departments.

Three of the manufacturing sites have been re-accredited with the Occupational Health & Safety Standard – OHSAS 18001.

In terms of our performance this year we have had 224 reportable incidents, 32 less than last year and exceeding our target of a 10% reduction by 2.5%. We also set a target of reducing hours lost due to injury of 30% in line with the government's revitalising health & safety targets. We only achieved a 3% saving on this and this will form an area of focus for the coming year. We have had two improvement notices this year, no prohibition notices and no prosecutions by the Health & Safety Executive.

A summary of the main category types of accidents is given in the pie chart below.



IV. COMMUNITY

MFI has a presence in over 500 local communities in the UK where it either has a store, trade outlet, warehouse or a factory. MFI cares passionately that it is a good neighbour in the areas where it trades and where our colleagues and their families live and work.

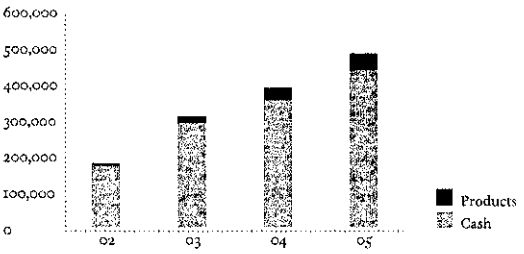
The Group donated over £500,000 in 2005 to over 1,000 local charities and community organisations. One beneficiary of the manufacturing side of the business's community giving is the national charity 'Young Enterprise'. MFI is working closely with the Humberside region to benefit the communities from where MFI draws its staff for their Hull, Scunthorpe and Howden factories. 'Young Enterprise' delivers through its network of business volunteers, which includes MFI staff, a wide range of educational/business programmes to over 5,000 young people in local schools and colleges (more details are available on the corporate website).

Howden Joinery donate to local charities around the communities in which the depots are based. In addition to this they also sponsor Leonard Cheshire charity in terms of both funding and product in the form of kitchens. We are to continue in this vein for 2006.

It is the intention of the business in 2006 to concentrate its resources in support of the local communities where it trades and where colleagues live. Our retail business intends to invest in projects that follow the grain of the business strategy and create interest in individual stores and employees.

At the beginning of the year the Company donated a five figure sum to the Asian Tsunami. MFI have introduced, throughout the business, a 'Give as you Earn Scheme' where colleagues are able to give money to their favourite charities through the Company's payroll; over 750 make regular monthly donations.

Total contributions (£)



Board of directors

CHAIRMAN

IAN PEACOCK – CHAIRMAN

Ian joined the Board in January 2000, having previously held senior management positions at Kleinwort Benson Group and BZW. He is Chairman of Mothercare and Deputy Chairman of Lombard Risk Management. He was a special adviser to the Bank of England from 1998 to 2000 and was a non-executive director of Norwich and Peterborough Building Society from 1997 to 2005.

EXECUTIVE DIRECTORS

MATTHEW INGLE – CHIEF EXECUTIVE OFFICER

Matthew, previously managing director of the Magnet trade operation, joined MFI in 1995 to set up the successful Howden Joinery business. He was elected to the Board of MFI in 1998 and became Chief executive officer in October 2005.

MARK ROBSON – CHIEF FINANCIAL OFFICER

Mark was appointed to the Board in April 2005 as Chief financial officer. Prior to joining the Company he had been group finance director of Delta since 1999 and was extensively involved in the restructuring of that group. Prior to this he spent 13 years with ICI in various senior financial roles, having qualified as a chartered accountant with Price Waterhouse.

BOB WILSON – KITCHENS CATEGORY DIRECTOR

Bob has been with Hygena since 1977, a member of its board since 1982 and became managing director in 1993. He was appointed to the Group Board in 1998, and has been largely responsible for directing the manufacturing investment programme. He will be retiring as an executive director in April 2006.

NON-EXECUTIVE DIRECTORS

TONY DE NUNZIO – DEPUTY CHAIRMAN

Tony joined the Board in September 2000 and also serves as Deputy Chairman (since February 2005) and as Chairman of its Audit Committee and Senior independent director. Tony is executive chairman of Royal Vendex, a leading Dutch retailer, and was previously President and Chief executive officer of Asda Stores. Leading up to the takeover by Wal-Mart, Tony was Group finance director of Asda Group, his career with the company beginning in 1994 after a spell as finance director of Allied Maples. Prior to this he was Planning director for Central Europe at PepsiCo in the early 1990s after having been Group financial controller for L'Oréal (UK). Tony started his career with Unilever.

PAUL CHENG – NON-EXECUTIVE DIRECTOR

Paul Cheng was appointed to the Board as a non-executive director with effect from 1 August 2005. Paul has extensive international business experience, and was formerly Chairman of Inchcape Pacific and a former member of the Hong Kong Legislative Council. Paul was recently appointed Chairman of The Link Management, which manages most of the estate shopping malls and car park facilities owned by the Hong Kong Government. Paul is currently also a senior adviser of Deutsche Bank in Asia Pacific. Born in China, he was raised in Hong Kong and received his higher education in the USA with an MBA from the Wharton Business School at the University of Pennsylvania.

LESLEY KNOX – NON-EXECUTIVE DIRECTOR

Lesley was appointed non-executive director in May 2001 and also serves as Chairman of the Remuneration Committee. Lesley was a founder director of British Linen Advisers, a specialist corporate finance adviser focusing on growth companies. She was previously Head of Institutional Asset Management and then Group director at Kleinwort Benson. She joined the Corporate Finance Division of Kleinwort Benson in 1981 and has advised many domestic and international clients on strategic issues. She is also Chairman of the Alliance Trusts and a non-executive director of HMV Group and Hays.

IAN SMITH – NON-EXECUTIVE DIRECTOR

Ian was appointed non-executive director in September 2001. He was appointed Chief executive officer of the General Healthcare Group in September 2004 and was previously CEO, Europe for Exel, Group commercial director of Ocean Group (before its merger with NFC to form Exel) and prior to that, managing director of Monitor Company Europe, a strategy consulting firm. Ian began his business career with Royal Dutch/Shell Group of companies, working with Shell UK Oil in various roles including marketing director of Shell Oman and then setting up and managing the Shell joint venture in Jordan. Ian received an MA from Oxford University and received an MBA with high distinction from Harvard Business School.

PETER WALLIS – NON-EXECUTIVE DIRECTOR

Peter is Senior Partner in the respected SRU strategy and market research consultancy. His speciality is advice to CEOs on strategic direction. Peter was appointed a non-executive director in January 2001.

Directors' report

The directors have pleasure in submitting their report and the audited financial statements for the 52 week period ended 24 December 2005. Comparative figures relate to the 52 weeks ended 25 December 2004.

PRINCIPAL GROUP ACTIVITIES, BUSINESS REVIEW AND RESULTS

The principal activities of MFI Furniture Group Plc and its subsidiaries are the manufacture, distribution and sale of kitchen cabinetry and household furniture.

A detailed review of the development and activities of the Group's business is contained in the Chairman's statement, Chief executive's review and the Operating and financial review on pages 2 to 23.

The full results for the period are shown in the Financial Statements on pages 56 to 91.

SHARE CAPITAL

The total number of ordinary shares of 10 pence each in issue at the period end stood at 627,298,881. Details of the Company's share capital are given on page 82. Details of share options granted and exercised during the period are given on page 83.

DIVIDENDS

The Board recommends that no final dividend is paid (2005 – 2 pence). An interim dividend of 2 pence per share (2004 – 2 pence per share) was paid on 21 October 2005. The total dividend for the period will therefore be 2 pence per share (2004 – 4 pence per share).

SUBSTANTIAL SHAREHOLDINGS

As at 27 February 2006 the following substantial interests (3% or more) in the Company's share capital had, at various dates, been notified to the Company:

Goldman Sachs	15.80%
Brit TEL Fund Trustees (Hermes)	11.08%
Deutsche Bank AG	6.08%
Computershare Trustees (CI)	5.27%
Classic Fund Management	4.69%
Artisan Partners Limited	4.04%
Lloyds TSB Group plc	4.01%
Chase Nominees	3.69%
Cycladic Capital Management	3.08%
North Yorkshire Pension Fund	3.03%

The percentage interest is as stated at the respective date of notification and current interests may vary.

DONATIONS

In addition to furniture products and services donated to various charities, the Company made charitable donations during the period amounting to £515,000 (2004 – £400,000). The Group made no political donations during the current and previous periods.

SUPPLIERS' PAYMENT TERMS

The Group and Company's policy, in relation to all its suppliers, is to settle its terms of payment when agreeing the terms of the transaction and to abide by those terms provided that it is satisfied that the supplier has provided the goods or services in accordance with the agreed terms and conditions. The Group and Company does not follow any code or standard on payment practice, but it is the Group and Company's policy to pay all its suppliers within 30 days of the end of the month in which it receives the goods or services.

The number of days' purchases outstanding for payment by the Group at the period end was 23 (2004 – 52) and nil (2004 – nil) for the Company.

EMPLOYEES

The average number of employees and their remuneration are shown in note 3 to the Financial statements.

The Group has, at the date of this report, approximately 12,800 employees throughout the United Kingdom and overseas and strives to motivate its employees wherever possible in its business goals by a variety of means. Apart from conferences, intranet technology, staff briefings and bulletins and the publication and circulation of the quarterly staff magazine, several discussion groups comprising management and staff were held during the year to ensure that the aims of the Group were clearly communicated to the business as a whole, to obtain feedback from staff and management alike on a variety of issues and to work at creating an environment of service within the Group.

The Board is committed to linking reward to Group and local business goals and thereby giving employees the opportunity to share in the financial success of the Group. The Board recognises employees for their contribution in this regard and includes employee incentive plans and share plans within remuneration overall.

The Group promotes the importance of diversity and adopts an Equal Opportunities Policy under which training and career development opportunities are available to all employees, regardless of gender, religion or race. The Group is committed to meeting the code of practice on the employment of disabled people and full and fair consideration is given to disabled applicants for employment. It aims to do all that is practicable to meet its responsibility towards the employment and training of disabled people and welcomes, and considers fully, applications by disabled persons, having regard to their particular aptitudes and abilities. It is also the Group's policy to retain employees who may become disabled while in service and to provide appropriate training. The Group is a member of the Employers' Forum on Disability and of Opportunity NOW.

AUDITORS

In accordance with Section 385 of the Companies Act 1989 a resolution proposing the re-election of Deloitte & Touche LLP as the auditors of the Company will be put to the Annual General Meeting.

ANNUAL GENERAL MEETING

The Annual General Meeting is to be held at The Lincoln Centre, 18 Lincoln's Inn Fields, London WC2A 3ED on 19 May 2006.

DIRECTORS AND THEIR INTERESTS

Details of the directors in office on 24 December 2005 are shown on pages 31 to 32.

Mark Robson was appointed as a director on 12 April 2005 and Paul Cheng as a non-executive director on 1 August 2005. John Hancock, Shaun O'Callaghan and Mark Horgan resigned as directors on, respectively, 3 October, 20 July and 19 May 2005.

Information on the directors' service agreements and interests of the directors and their families in the share capital of the Company, are set out in the separate Report on Remuneration on pages 35 to 48.

By order of the Board
Gerard Hughes
Secretary
28 February 2006

Directors' remuneration report

PART A

1. COMPOSITION OF THE REMUNERATION COMMITTEE

The Remuneration Committee determines the remuneration of the executive directors, key members of the executive team and the Company secretary. All the members of the Committee are independent non-executive directors of the Company and have served on the Committee throughout 2005. The members of the Committee are:

Lesley Knox (Chairman)
Tony De Nunzio
Ian Smith
Peter Wallis

During 2005 the Committee has taken external advice from its appointed independent remuneration consultants, being Ernst & Young LLP, in the period from the beginning of the year until 5 July 2005 and, since that date, KPMG. The Committee is assisted by the Chairman, the Chief executive officer, and the Company secretary, where appropriate.

The Committee met four times during 2005. The terms of reference of the committee are available on the Company's website (www.mfigroup.co.uk). In addition to their remuneration advice services, Ernst & Young LLP represented the Company over the merchant charges appeal with HM Revenue & Customs. In addition to their remuneration advice services, KPMG also provided advice in respect of refinancing, certain corporate transactions, value added tax and staff on secondment.

Part A of this Report, which comprises Sections 1 to 4, is not subject to audit. Part B, which comprises Sections 5 to 11, is subject to audit.

2. POLICY ON REMUNERATION OF EXECUTIVE DIRECTORS FOR 2005 AND 2006

The Committee determines policy for current and future years, which is reviewed on an annual basis. The policy in recent periods has been designed to provide a total remuneration package, which has the objective of ensuring business success through the recruitment, retention and motivation of a team of talented executives.

The Committee has undertaken a comprehensive review of the remuneration policy at Board level and for key executives with the assistance of KPMG, its new independent advisers. In the current challenging trading environment and against the background of major changes to the top executive team, the Committee has been conscious of the need to have a remuneration strategy which underpins the widespread and complex changes management will need to deliver to achieve the Company's new strategic direction. As a result of that review, the Committee has introduced for 2006 the new Foundation Plan which will operate for this year only (alongside the Annual Incentive and Deferred Incentive Plan) and will generally only deliver rewards to participants from 31 December 2008 if extremely demanding share price growth is achieved in the financial year 2006. Consequently, no grants or awards will be made under the existing long-term incentive plans during 2006. This is described in more detail overleaf.

The Committee intends to review all incentive arrangements, in the context of Group performance, at the end of 2006 to determine the appropriate incentive framework required for the future.

Company policy is to set base salaries with regard to the median level of companies of similar size and complexity. These are then supplemented by variable rewards and incentives, which can raise the total value of the package into the upper quartile if superior performance and returns for shareholders are generated. The total opportunity of remuneration is strongly weighted in favour of performance-based incentives.

The remuneration policy has been designed and developed over a number of years to place emphasis on significant shareholding opportunities if stretching performance conditions are satisfied. These conditions, if satisfied, will deliver substantial increases in shareholder value. Performance measures include short-term business targets, stretching earnings growth and the delivery of superior shareholder return compared with a group of UK quoted retailers or the FTSE 250. The new Foundation Plan, with its demanding share price targets during 2006 should also deliver a substantial increase in shareholder value. The overall balance of these measures is aimed to ensure that shareholders will enjoy real absolute and relative returns if executive directors achieve partial vesting and superior returns if awards vest in full.

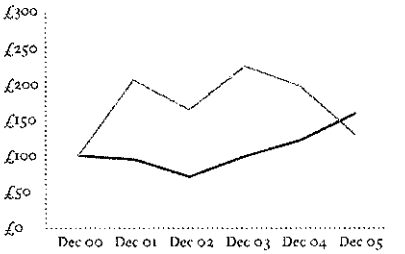
The remuneration package includes an annual incentive plan with a compulsory one third deferral of any payment into shares and, prior to 2006, a performance share plan which is based on total shareholder return ("TSR") relative to comparable companies and an optional executive co-investment plan. Under this plan, which commenced in 2002, executive directors were encouraged to invest in the Company's shares and in return receive matching awards of shares and options only if there is significant growth in earnings and median to upper quartile growth in returns to shareholders relative to the FTSE 250.

The package has also included, in prior periods, the provision of share options, including performance options, which only become exercisable if particularly stretching performance targets are met.

Prior to each award, the Committee has considered carefully which performance measures would be most effective for each long-term incentive plan. For awards up to 2005, the Committee concluded, after consulting with certain institutional investors, and after taking advice from its independent advisors, that a combination of TSR and earnings per share ("EPS") would be the most appropriate measures for the circumstances of the Company at the time of the relevant grants. The Committee has noted that none of the performance measures selected by the Committee were satisfied in 2005. The Committee's recent review indicated that the Company's established long-term incentive arrangements with performance measured by EPS and TSR over three years would be reasonable in the context of a relatively stable but growing business, but did not fit the circumstances facing the Company at the end of 2005 with the significant changes required to meet the new strategy announced in early 2006. With this in mind the Committee needs to ensure that the remuneration package is targeted both to keep the senior executive team together and also focus them on the achievement of key targets over the current year. The targets set out in the Foundation Plan are designed to achieve those aims in 2006.

Under the Directors' Remuneration Report Regulations 2002 ("the Regulations") the Company is required to include in this report a graph showing the Company's total shareholder return (TSR) performance over the most recent five years compared to an appropriate index. The graph below illustrates the Company's TSR performance relative to the constituents of the FTSE 250 Index (excluding investment companies) of which the Company is a constituent.

Total Shareholder Return of MFI versus Median of FTSE 250 Constituents (excluding Investment Companies):



-- MFI Furniture Group
— FTSE Mid 250 Index (excluding Investment Companies)

3. COMPONENTS OF EXECUTIVE DIRECTORS' REMUNERATION

I. Basic salary

Basic salary for each director is positioned with regard to the median level, is reviewed annually and is determined by the Committee taking into account the performance of the individual, changes in their responsibilities and information from independent remuneration consultants' sources on the levels of salary for similar jobs having regard to the size of the company – its turnover, profits, market capitalisation and complexity. The Committee also takes account of the remuneration levels within the Group generally.

II. Annual Incentive and Deferred Incentive Plan

This Plan sets challenging Group targets and provides for a bonus opportunity of up to 100% of salary for the Chief executive and 75% for the other executive directors. In 2005 the target was not met, however a discretionary bonus payment of £500,000 (100% of salary) was made to Matthew Ingle based on the stabilisation of the Group and the financial results of Howden which achieved another year of outstanding profits growth. A bonus payment of £247,500 (75% of salary), was made to Mark Robson (50% of which had been guaranteed as part of his recruitment terms, recognising the loss of benefits foregone when he left his previous employer). Bob Wilson was awarded a bonus of £78,000, representing 33% of salary. A stretching Group target has been set for performance in 2006 to support the turnaround of performance of the Group. To align the executive directors' interests with those of the shareholders, one third of the incentive is deferred into ordinary shares of the Company and held in trust for three years before release to the executive director. A third of the bonus payments made to Matthew Ingle and Mark Robson were deferred into ordinary shares of the Company accordingly. Bob Wilson is retiring as an executive director in April 2006 and his bonus was not subject to any deferral. All bonuses are paid at the discretion of the Remuneration Committee, cash bonuses may also be paid in exceptional circumstances, for example for recruitment or retention of key executive directors or for outstanding performance. Bonuses are non-pensionable.

III. 2006 Foundation Plan

The Committee intends that the participants in the Plan, which is to be implemented by the Committee in March 2006 and does not require shareholder approval, will be the Chief executive, the Chief financial officer and a limited number of senior executives.

Whilst the Plan does not require Shareholder approval as it relates to performance in 2006 and will not involve the issue of new shares, the Company has consulted with a number of investors and representatives thereof before finalising the terms of the Plan. The grant to each participant will comprise an award of restricted shares and share options with an exercise price of 92 pence per share. The number of shares and share options the participant will become entitled to is determined by demanding share price targets.

Vesting at 100% requires a sustained share price of £1.25 for the restricted shares and £1.60 for the share options. Vesting will also be dependent on the Remuneration Committee determining that there has been a satisfactory improvement in underlying financial performance of the Company.

Whilst the awards will vest at the end of the financial year 2006, the awards will generally not be exercisable during a Deferral Period that will continue until 31 December 2008.

IV. Performance Share Plan

This Plan provides a direct link between the pay of executive directors and the creation of value for shareholders. The structure of this Plan is as set out below. However, it is not intended that any grants will be made under this Plan during 2006 to participants in the Foundation Plan.

Conditional awards of shares equivalent to one year's salary have previously been made to executive directors annually at the discretion of the Committee and are released subject to the achievement of company performance targets. Company performance is measured over three years, in terms of TSR relative to a comparator group of companies. In addition, no award will vest unless the EPS of the Company increases over the performance period by a percentage amount that is equal to or greater than the percentage change in the retail prices index ("RPI") plus 9% over the same period. The Committee has noted that the Performance Share Plan ("PSP") award granted in 2003 has not vested as a result of this performance target not being met. The comparator companies have been selected on the basis of relative sector, size and complexity. The comparator group is reviewed before each performance award cycle to maintain its relevance.

The comparator group for the 2003 award was as follows:

Boots	Carpetright
Debenhams*	DFS
Dixons	GUS
Kingfisher	Marks and Spencer
Matalan	MFI
Selfridges*	WH Smith
Arcadia*	Woolworth

The comparator group for the 2004 award is as follows:

Boots	Carpetright
Debenhams*	DFS
Dixons	GUS
Kingfisher	Marks and Spencer
Matalan	MFI
Selfridges*	WH Smith
Wolseley	Woolworth

* De-listed since the formation of these groups

The comparator group for the 2005 award is as follows:

Boots	Carpetright
Dixons	GUS
Kingfisher	Marks and Spencer
Matalan	MFI
Travis Perkins	WH Smith
Wolseley	Woolworth

The number of shares released depends upon the Company's comparative performance against its peer group. If the Company's TSR is at the median level, 40% of the shares, which are the subject of the award, will vest. If the Company is ranked in the top quartile of the list, 100% of the shares will vest. Proportional vesting on a straight-line basis will take place for performance between the median and the top quartile positions. Full details of how TSR is calculated and measured and of the Company's performance relative to the peer group for each award are shown on page 44.

KPMG are instructed by the Committee to collect market data and report on the Company's performance under the PSP with regards to TSR.

V. Executive Co-investment Plan

The Executive Co-investment Plan reached the end of its four-year period at 31 December 2005 and has expired without the performance requirements having been met and no Matching Awards have vested.

VI. Share Option Plan Portfolio

The Company operates a share option plan portfolio which has three sections. Grants were made to executive directors in 2000 and 2001 but as explained above it has not been the policy of the Committee to make option grants to participants in the Executive Co-investment Plan and no grants will be made during 2006 to participants in the Foundation Plan.

Under Sections 1 and 2, the Inland Revenue Approved and Unapproved sections of the plan, executive directors may receive annual grants of options up to two times salary at the discretion of the Committee. However, unless there are exceptional circumstances, executive directors cannot receive options under these sections of the Plan if they receive an award under the Performance Share Plan in the same year.

Share options under Sections 1 and 2 become exercisable only if a performance condition is satisfied. The current condition applying to existing options is that the growth in EPS of the Company must meet or exceed the growth in the RPI by 9% over a three-year period. Options will lapse if this target has not been satisfied.

Under Section 3 of the Plan the Committee has discretion to grant Performance Options to executive directors up to four times salary subject to the achievement of certain demanding and challenging performance targets based on EPS growth, which if achieved, will demonstrate superior performance. Details of these targets are set out under the table of directors' share options. KPMG are instructed by the Committee to review the calculation and to advise the Committee of the Company's EPS performance relative to these targets.

VII. FreeShare Plan

The FreeShare Plan was introduced in 2002. Executive directors may participate in the Plan on the same terms as all other eligible employees. Under this Plan all eligible employees were invited to accept an allocation of up to £200 of the Company's shares in September 2002 and again in May 2003. The shares are held in a Trust for a holding period being between three and five years after which the award of shares will vest and participants may withdraw their shares.

VIII. ShareSave Plan

Executive directors may participate in the ShareSave Plan, if offered, on the same terms as all other eligible employees. At the discretion of the Board, the Plan is offered to all employees contracted to work a minimum of eight hours per week. Under the Plan, participants make regular savings and at the end of the savings period participants may use all or part of their savings and bonus to purchase shares at the option price which is set at the start of the savings plan.

In 2003 all eligible employees were invited to save to invest in the Company's shares under this plan and ShareSave options over approximately 5.7 million shares were granted to participants.

IX. Pensions

Executive directors participate in the MFI Group Pension Plan on a similar basis to senior executives, with the exception that one executive director has a long-standing right to retire at age 55 and draw a pension without any early retirement reduction factor being applied. The Plan is a funded, Inland Revenue approved, final salary, occupational pension plan. Its main features are:

a. pension at normal pension age of two thirds of final pensionable salary, subject to completion of 20 years service; post-retirement increases are expected to be in line with inflation, guaranteed up to the level of 5% and discretionary above that level;
b. members contribute 9.5% of pensionable salary;
c. life assurance cover of four times pensionable salary;
d. pension payable in the event of ill health; and
e. spouse's pension on death (2/3rds of deceased's pension).

Pensionable salary is the member's basic salary. All plan benefits are subject to Inland Revenue limits.

X. Pension supplements

To recognise that pension entitlement will be limited for those members who joined the MFI Group Pension Plan after 14 March 1989 and whose final pensionable salary exceeds the Earnings Cap, a pensions supplement system has been introduced. The pensions supplement is based on salary above the Earnings Cap. Below age 45 the supplement is 40%. Above age 45 the supplement is 45%. The supplement is paid in arrears and in two instalments, in September and March.

XI. New pension arrangements

The Company announced in February 2006 that it had reached agreement with the Trustees of the MFI Group Pension Plan in relation to future funding and that it was proposed that the benefit structure of the Plan would be revised from 1 September 2006. The Committee will, during the year, review the executive directors' pensions arrangements to align them with the new structure, when finalised.

XII. Service contracts

The Committee's policy on service contracts has been to offer a notice period for termination by the Company or director of 12 months and liquidated damages of 12 months' base salary are applied to any payment of compensation on termination. Previously, on change of control of the Company, liquidated damages of 18 months' base salary might have become become payable. This policy, which did not comply with the Combined Code, was changed last year by the Committee and service contracts issued to newly appointed directors including Mark Robson, who was appointed during the year as Finance Director, will provide that liquidated damages of 12 months' base salary may become payable on a change of control. Matthew Ingle has agreed to accept a reduction in his contract from the 18 months period to 12 months without compensation.

Executive director	Dated contract
Matthew Ingle	1 November 1999
Mark Robson	7 February 2005
Bob Wilson	1 November 1999

The unexpired term for all executive directors' service contracts is twelve months. Mr Wilson will be retiring as a director in April 2006.

XIII. Termination of contracts

John Hancock stepped aside as Chief executive in October 2005. Following extensive negotiation of his contractual position, it was agreed that he would be placed on garden leave, remaining bound by competition restrictions, for a period of 12 months until 31 December 2006, during which time he would receive total payments based on 12 months' basic salary (excluding benefits) to be paid on a phased basis and reduced by any salary earned from new employment during the twelve month period. He would continue to be available to the Company in relation to transitional matters, in particular to assist with certain contractual claims against third parties. It was also agreed to pay his out-placement and professional fees up to a maximum of £60,000.

Shaun O'Callaghan, previously interim CFO, was placed on garden leave at the end of September 2005 for a period of 12 months, expiring on 30 September 2006, during which time he remains bound by competition restrictions. Payments based on 12 months' salary and benefits were agreed to be paid on a phased basis, to be reduced by any earnings from new employment during the twelve month period.

Mark Horgan resigned his employment as executive director MFI Retail in May 2005 and an early release date was agreed with him. His employment therefore ceased on 31 August 2005 and his salary and benefits were paid until that date. No termination payments were made. Mr Horgan remains bound by post-termination competition restrictions.

Vesting and exercise of share awards for each individual will be subject to the performance tests and rules of the respective schemes.

XIV. External appointments

It is recognised that executive directors may be invited to become non-executive directors of other companies and that exposure to such duties can broaden experience and knowledge, which will benefit the Company. Executive directors may accept one non-executive appointment, unless otherwise agreed by the Remuneration Committee, provided this is not with a competing company nor likely to lead to conflicts of interest. Executive directors may retain the fees paid to them in respect of their non-executive duties.

4. NON-EXECUTIVE DIRECTORS' REMUNERATION

The remuneration of the independent non-executive directors is determined by a Committee appointed by the Board comprising the Chairman and Chief executive after taking advice from the Committee's independent external consultants, who review the fee payments of non-executive directors in similar organisations.

Non-executive directors' remuneration consists of an annual basic fee of £35,000 for their services as members of the Board and of £5,000 for their services as members of the Committees of the Board. Lesley Knox and Tony De Nunzio each receive an additional fee of £8,000 for their services as chair of the Remuneration Committee and Audit Committee respectively. In addition, Tony De Nunzio receives a fee of £15,000 per annum for his services as deputy chairman. Non-executive directors do not have service agreements, but instead have letters of appointment and are appointed by the Board for an initial period of three years subject to retirement by rotation and re-appointment by shareholders.

Ian Peacock was appointed Chairman on 18 May 2000 subject to the provisions of the Company's Articles of Association. Mr Peacock receives a fee of £170,000 per annum in consideration for his services as Chairman and non-executive director. In the first year of his appointment Mr Peacock agreed to apply £20,000 of this fee towards the purchase of shares in the Company and to hold these shares until he ceases to be Chairman and non-executive director. Under this arrangement Mr Peacock purchased 31,740 ordinary shares at 63 pence per share on 16 June 2000.

5. DIRECTORS' REMUNERATION

The following table sets out the directors' emoluments for the 52 weeks to 24 December 2005.

	Basic salary £000	Fees £000	Benefits £000	Annual cash incentive	Pension supplement	52 weeks to 24 Dec 2005 £000	52 weeks to 25 Dec 2004 £000
Chairman							
Ian Peacock	–	170	–	–	–	170	153
Executive directors							
John Hancock	450	–	84	–	156	690	632
Mark Horgan	149	–	11	–	56	216	338
Matthew Ingle	475	–	20	333	184	1,012	773
Shaun O'Callaghan	276	–	18		75	369	475
Mark Robson	238	–	13	165	48	464	0
Bob Wilson	237	–	18	78	–	333	253
Sub total	1,825	170	164	576	519	3,254	2,624
Non-executive directors							
Tony De Nunzio	–	61	–	–	–	61	41
Paul Cheng	–	15	–	–	–	15	0
Lesley Knox	–	48	–	–	–	48	41
Ian Smith	–	40	–	–	–	40	35
Peter Wallis	–	40	–	–	–	40	35
TOTAL	1,825	374	164	576	519	3,458	2,776

1. Mr Ingle, the highest-paid director, received the emoluments set out above in respect of the period under review. His base salary is currently £500,000 pa. In January 2005 he also received a payment of £77,500, representing salary earned between 1 July 2004 and 24 December 2004.
2. Mr Robson was appointed as a director on 12 April 2005; his base salary is £330,000 pa.
3. Mr Cheng was appointed as a director on 1 August 2005.
4. Mr O'Callaghan resigned as a director on 20 July 2005. It was agreed that he would remain in the employment of the Company on garden leave and his service agreement will terminate on 30 September 2006. He will until that date be entitled to receive payments based on salary and benefits, such amounts to be payable on a phased basis, to be reduced by earnings from any new employment. These payments are included in the emoluments disclosed in the above table.
5. Mr Hancock resigned as a director on 2 October 2005, remaining as an employee and continuing to be available to the Company in relation to transitional matters, in particular to assist with certain contractual claims against third parties. On 21 December 2005, it was agreed with Mr Hancock that his service contract would be terminated on 31 December 2006. It was agreed that he would be placed on garden leave until that date during which time he would receive total payments based on 12 months' basic salary (excluding benefits) to be paid on a phased basis and reduced by any salary earned from new employment during the twelve month period. It was also agreed to pay his out-placement and professional fees up to a maximum of £60,000. These payments are disclosed in the benefits column.
6. Mr Horgan resigned as a director on 18 May 2005. His employment ceased on 31 August 2005 and his salary and benefits were paid until that date. These payments are disclosed in the benefits column.
7. Payments were made during the year to two former directors, Mr MacDonald and Mr Clifford-King, totalling £165,000 and £150,000 respectively being payments made in accordance with the agreements relating to the termination of their employment contracts, details of which were disclosed last year.
8. The Remuneration Committee has awarded each of Matthew Ingle, Mark Robson and Bob Wilson a discretionary award under the Annual Incentive Plan of £500,000, £247,500 and £78,000 respectively for the 52 weeks ended 24 December 2005. For Mr Ingle and Mr Robson, two-thirds of these awards are payable in cash and are disclosed in the column for the annual cash incentive. One-third of the awards will be made in shares under the terms of the Deferred Incentive Plan (191,167 and 94,628 shares respectively). Mr Wilson's award is payable in cash as he is retiring in 2006.
9. The Benefits column incorporates benefits in kind which relate in the main to the provision of a fully expensed car or cash equivalent and private medical cover.
10. Pension supplements are paid every six months in arrears and the next payment is due in March 2006. The table above includes an accrued amount for the period from 1 October 2005 to 24 December 2005. Further details of the Pension Supplement Plan are given on page 40.

The table below summarises total directors' remuneration:

	2005 £000	2004 £000
Emoluments	3,458	3,480
Gains on exercise of share options	761	1,100
Amounts receivable under long-term incentives	1,400	2,200
Pensions contribution	63	71

6. *DIRECTORS' SHAREHOLDINGS*

The beneficial interests of the directors in office on 24 December 2005 and their families in the share capital of the Company are as follows:

	Ordinary shares of 10p each 24 December 2005	Ordinary shares of 10p each 25 December 2004
Matthew Ingle	721,103	700,921
Bob Wilson	935,023	935,023
Tony De Nunzio	16,000	23,000
Lesley Knox	8,000	8,000
Ian Smith	10,000	10,000
Ian Peacock	125,000	125,000
	1,815,126	1,801,944

There have been no changes to the directors' interests shown above between 24 December 2005 and 27 February 2006.

Executive directors may also have a beneficial interest in the shares held under the terms of the Executive Co-investment Plan. These shares are held beneficially but are subject to performance and employment conditions. Details of these interests are set out in the table on page 46.

As at 24 December 2005 Mr Hancock held 556,054 ordinary shares. Neither Mr Horgan nor Mr O'Callaghan held any shares as at that date.

7. DEFERRED INCENTIVE PLAN – SHARES HELD IN TRUST

Details of shares held in trust under the terms of the Deferred incentive plan are as follows:

Executive	Deferred shares (52 weeks ended Dec 2002*)	Date awarded	Release date	Deferred shares (52 weeks ended Dec 2003**)	Date awarded	Release date	Deferred shares (52 weeks ended Dec 2004***)	Date awarded	Release date
John Hancock	118,828	03.03.03	02.03.06						
Matthew Ingle	57,871	03.03.03	02.03.06	55,799****	03.03.04	02.03.07	170,831****	29.03.05	28.03.08
Bob Wilson	49,769	03.03.03	02.03.06						

* Shares were acquired by the Trustee on 28 February 2003 at 108 pence per share.
** Shares were acquired by the Trustee on 3 March 2004 at 147.75 pence per share.
*** Includes shares granted for the purposes of National Insurance elections.
**** Shares will be allocated by the Trustee from shares already held within the Trust.

8. DIRECTORS' CONDITIONAL AWARDS OF SHARES – PERFORMANCE SHARE PLAN

Details of the conditional awards of shares made to the executive directors under the Performance Share Plan are as follows:

Executive	27-Dec-03	25-Dec-04	24-Dec-05	Initial share price (pence)	Performance period	Vesting date
John Hancock	–	329,934	**329,934**	147.75	01.01.04 – 31.12.06	*Lapsed*
	391,706	391,706	–	108.50	01.01.03 – 31.12.05	Lapsed
	391,706	721,640	**329,934**			
Mark Horgan	–	197,960	–	147.75	01.01.04 – 31.12.06	Lapsed
	216,590	216,590	–	108.50	01.01.03 – 31.12.05	*Lapsed*
	216,590	414,550	–			
Matthew Ingle	–	–	**511,574**	106.50	01.01.05 – 31.12.07	
	–	232,894	**232,894**	147.75	01.01.04 – 31.12.06	
	253,457	253,457	–	108.50	01.01.03 – 31.12.05	*Lapsed*
	253,457	486,351	**744,468**			
Shaun O'Callaghan	–	194,079	–	147.75	01.01.04 – 31.12.06	Lapsed
	200,525	200,525	–	143.00	01.01.03 – 31.12.05	Lapsed
	200,525	394,604	–			
Mark Robson	–	–	**355,410**	106.50	01.01.05 – 31.12.07	
	–	–	**355,410**			
Bob Wilson	–	178,553	**178,553**	147.75	01.01.04 – 31.12.06	
	211,982	211,982	–	108.50	01.01.03 – 31.12.05	Lapsed
	211,982	390,535	**178,553**			

1. Awards disclosed assume 100% vesting.
2. Grants made in 2004 and 2005 include shares for National Insurance elections.

Performance Measurement and the comparator peer group for the share performance plan is as follows:

Vesting targets for each award are measured over three years, in terms of Earnings per Share ("EPS") and total shareholder return ("TSR"). An award will not vest unless EPS growth over the vesting period increases by a percentage amount that is equal to or greater than the percentage change in the Retail Prices Index over the period plus 9%, the extent to which an award vests depend on TSR performance. TSR is a way of calculating the return shareholders would enjoy if they held a notional number of shares, over a period of time. TSR measures the percentage growth in the Company's share price together with the value of dividends received in the period, assuming that all of those dividends are "re-invested" into new shares.

The TSR is measured against a comparator group, with the starting base period being the three months to 1 January of the year in which the awards are made. For a TSR performance that places the Company at the median of the comparator group, 40% of the award will vest. For attaining an upper quartile position, 100% of the award will vest, with straight-line vesting between the median and upper quartile positions. For below median performance the award will not vest.

9. DIRECTORS' SHARE OPTIONS*

The interests of executive directors in options to acquire ordinary share in the Company are as follows:

	25-Dec-04	Exercised/ lapsed during period	Granted during period	24-Dec-05	Exercise price (pence)	Earliest date for exercise	Latest date for exercise
John Hancock							
Executive Scheme	785,000	–	–	**785,000**	35.00	06.03.02	05.03.06
Executive Scheme	705,000	–	–	**705,000**	39.00	07.09.02	06.09.06
2000 Share Option Plan Portfolio (Section 3)	1,904,762	–	–	**1,904,762**	68.25	19.05.03	31.12.06
2000 Share Option Plan Portfolio (Section 3)	701,403	–	–	**701,403**	124.75	30.05.04	31.12.06
2000 Share Option Plan Portfolio (Section 3)	–	(484,649)	484,649	–	106.50	–	–
Mark Horgan							
Executive Scheme	642,772	(642,772)	–	–	42.00	–	–
2000 Share Option Plan Portfolio (Section 3)	400,802	(400,802)	–	–	124.75	–	–
Sharesave Scheme	2,067	(2,067)	–	–	184.00	–	–
Matthew Ingle							
Executive Scheme	16,666	–	–	**16,666**	180.00	02.07.99	01.07.06
2000 Share Option Plan Portfolio (Section 3)	450,902	–	–	**450,902**	124.75	30.05.04	29.05.11
Sharesave Scheme	2,067	–	–	**2,067**	184.00	01.12.08	30.05.09
2000 Share Option Plan Portfolio (Section 3)	–	–	511,574	**511,574**	106.50	26.05.08	26.05.15
Shaun O'Callaghan							
2000 Share Option Plan Portfolio (Section 1 and 2)	397,964	–	–	**397,964****	146.00	–	–
2000 Share Option Plan Portfolio (Section 3)	802,097	–	–	**802,097****	143.00	–	–
Mark Robson							
2000 Share Option Plan Portfolio (Section 3)	–	–	355,410	**355,410**	106.50	26.05.08	26.05.15
Bob Wilson							
Executive Scheme	126,200	(126,200)	–	–	115.00	03.07.98	02.07.05
2000 Share Option Plan Portfolio (Section 3)	433,553	–	–	**433,553**	68.25	19.05.03	18.05.10
2000 Share Option Plan Portfolio (Section 3)	400,802	–	–	**400,802**	124.75	30.05.04	29.05.11
Sharesave Scheme	2,067	–	–	**2,067**	184.00	01.12.08	30.05.09
Total	7,774,124	(1,656,490)	1,351,633	**7,469,267**			

* Excludes share options held under the Executive Co-investment Plan which are shown in the table on page 46
** Lapsed since year-end.

1. The options outstanding are exercisable at prices between 35 pence and 184 pence. In the period the highest middle market closing price was 143 pence per share and the lowest middle market closing price was 65.25 pence per share. The middle market price on 23 December 2005 (the last business day before the financial year-end) was 78.5 pence per share.
2. Options granted under the Executive Scheme (which was replaced with the approval of shareholders on 18 May 2000 by the Share Option Plan Portfolio) became exercisable on 28 February 2002 following satisfaction of the performance target that options granted are not normally exercisable unless growth in EPS, as determined under the scheme, have exceeded the growth in the RPI over a three-year period.
3. Options granted under Sections 1 and 2 of the 2000 Share Option Plan Portfolio are not normally exercisable unless growth in EPS, as determined under the Plan, meets or exceeds the growth in RPI by 9% over a three-year period. Options will lapse if this target is not satisfied.
4. Options granted under Section 3 of the 2000 Share Option Plan Portfolio are not normally exercisable unless challenging targets are met. For Section 3 options granted in 2000 50% of an option becomes exercisable subject to growth in EPS, calculated on an IIMR basis, being equal to 100% over three years; increasing on a straight-line basis up to 100% of an option becoming exercisable where EPS growth equals or exceeds 150%. For Section 3 options granted in 2001 50% of an option becomes exercisable subject to growth in EPS, calculated on an IIMR basis, being equal to 60% over three years; increasing on a straight-line basis up to 100% of an option becoming exercisable where EPS growth equals or exceeds 120%. Options will lapse to the extent that these targets are not satisfied. Targets are not restated.
   For Section 3 options granted in 2003, 20% of an option becomes exercisable subject to TSR a median level of the comparator group increasing on a straight-line basis to 50% of an option becoming exercisable for upper quartile position; and in addition 20% of an option becomes exercisable if growth in EPS meets or exceeds the growth in RPI by 10% over a three year period, rising on a straight-line basis to 50% of an option becoming exercisable if EPS meets or exceeds the growth in RPI by 20%.
   For Section 3 options granted in 2005, 40% of an option becomes exercisable subject to growth in EPS exceeding the growth in RPI by 40% over a three-year period rising on a straight-line basis to 100% of an option becoming exercisable if EPS exceeds the growth in RPI by 100%.
5. Mr Hancock exercised options granted under the Executive Scheme in 1999 in respect of 785,000 shares on 29 December 2005 at the exercise price of 35 pence. The market value at the date of exercise was 77.55 pence.
6. Mr Horgan exercised options granted under the Executive Scheme in 1999 in respect of 642,722 shares on 3 June 2005 at the exercise price of 42 pence. The market value at the date of exercise was 108.5 pence.

10. EXECUTIVE CO-INVESTMENT PLAN

The Performance Period for the Executive Co-Investment Plan expired on 31 December 2005 with the Performance Conditions not having been met. Consequently, the Matching Awards set out below lapsed and the Commitment Shares set out below that had, at the outset, been committed into the Plan by participants were required to be returned by the Plan Trustee to them.

Details of the directors' commitments under the Executive Co-Investment Plan were as follows:

Name	Commitment Shares held beneficially as at 24 Dec 2005	Commitment Shares held conditionally as at 24 Dec 2005	Commitment period
John Hancock	301,556	648,279	26.07.02 – 25.07.06
Mark Horgan	33,320	497,107	26.07.02 – 25.07.06
Matthew Ingle	104,397	512,379	26.07.02 – 25.07.06
Bob Wilson	76,169	432,502	26.07.02 – 25.07.06

Details of the Matching Awards granted to directors on 26 July 2002 under the Executive Co-Investment Plan were as follows:

	Matching options granted	Matching options granted	Value of shares at award/ exercise	Performance period	Earliest exercise/ vesting date	Latest vesting date
John Hancock	1,899,670	1,899,670	114p	01.01.02 – 31.12.05	26.07.05	25.07.12
Mark Horgan	1,060,854	1,060,854	114p	01.01.02 – 31.12.05	26.07.05	25.07.12
Matthew Ingle	1,233,552	1,233,552	114p	01.01.02 – 31.12.05	26.07.05	25.07.12
Bob Wilson	1,023,342	1,023,342	114p	01.01.02 – 31.12.05	26.07.05	25.07.12

11. EXECUTIVE DIRECTORS' PENSIONS

The table below shows the accrued pension, should the director leave employment as at the financial period end.

	Transfer value at 25 Dec 2004 £000	Real increase in accrued pension £000	Inflation £000	Increase in accrued pension £000	Transfer value of real increase in accrued pension (less directors' contributions) £000	Other changes to transfer value £000	Increase/ (decrease) in accrued pension (less directors' contributions) £000	Directors' contributions £000	Accrued pension at 24 Dec 05 £000	Transfer value at 24 Dec 05 £000
John Hancock	299.5	3.5	0.4	3.9	50.0	41.8	91.8	9.9	23.2	401.2
Mark Horgan	132.0	1.3	0.4	1.7	7.8	25.1	32.9	4.1	19.0	169.0
Matthew Ingle	416.4	3.5	0.7	4.2	39.0	62.7	101.7	9.9	37.1	528.0
Shaun O'Callaghan	21.6	2.0	0.1	2.1	10.3	4.2	14.5	5.9	5.2	42.0
Mark Robson	–	1.2	–	1.2	7.3	0.1	7.4	7.5	1.2	14.9
Bob Wilson	2,213.6	(2.9)	3.0	0.1	(83.9)	294.0	210.1	22.5	120.6	2,446.2

1. In the cases of John Hancock, Mark Horgan, Matthew Ingle, Shaun O'Callaghan and Mark Robson the benefits accruing are limited by the earnings cap imposed by the Finance Act 1989.
2. The aggregate pension costs paid by the Company in respect of the directors' qualifying services were £63,030 (2004 – £77,299). The amount paid in respect of the highest paid director was £9,900 (2004 – £9,600).
3. Values provided for Mr Hancock, Mr Horgan and Mr O'Callaghan are pro-rated for time served as executive director.

11. EXECUTIVE DIRECTORS' PENSIONS (CONTINUED)

Name	Date pensionable service commenced	Pensionable service (complete years and months)
Bob Wilson	26 July 1977	28 years 5 months
Matthew Ingle	12 April 1995	10 years 8 months
Mark Robson	12 April 2005	0 years 8 months

12. DIRECTORS' AWARD OF FREE SHARES – SHARE INCENTIVE PLAN

The aggregate awards of free shares made to the executive directors under the Share Incentive Plan are as follows:

Executive	No. of shares
John Hancock	311
Mark Horgan	–
Matthew Ingle	311
Bob Wilson	144

By order of the Board

Gerard Hughes
Secretary
28 February 2006

Corporate governance report

STATEMENT OF COMPLIANCE

The Board is committed to high standards of corporate governance and supports the principles of the Combined Code and, except where explained in this report, complies with the provisions set out in section 1 of the Code.

ORGANISATIONAL STRUCTURE

The Board reviews as part of its continuing evaluation procedures the appropriateness of its organisational structure. The structure is required for planning, executing, controlling and monitoring the business in a manner which seeks to achieve the Group's objectives taking into account the interests of all stakeholders.

The primary purpose of the Board is to ensure that the needs and aspirations of all stakeholders are satisfied. The Board seeks to achieve this through the development of a balanced strategy which serves the interests of the stakeholders. The Board's role is then to set the context for the businesses, create suitable structures for implementing the strategies and to ensure the co-ordination, alignment and motivation of resource. The Board then assesses the results of these actions and sets revised priorities where appropriate to service the needs of the stakeholders. The Board reviews annually the schedule of matters reserved for its decision. The current schedule is available on the Company's website. During 2005, the Board met 12 times.

The Board currently comprises the non-executive Chairman, Ian Peacock, three executive directors and five independent non-executive directors. The Chief executive officer is Matthew Ingle who took over that position from John Hancock in October 2005. Mark Robson joined the Board as Chief financial officer in April 2005. Tony De Nunzio is the Deputy chairman and Senior independent director.

Ian Peacock's other commitments during the year included his position as Chairman of Mothercare plc. The Nominations Committee will during 2006 review further the Board's composition to ensure that it will provide the balance of skills and experience that will be appropriate to achieve the satisfactory execution of the Company's current strategy and the size, complexity and geographical spread of the business. Following the changes during 2005, the composition of the Board has been altered so that at least half the Board comprised independent non-executive directors, bringing the balance of executives and non-executives into conformity with provision A.3.2 of the Code. The Board has identified the following non-executive directors as independent in accordance with the definition of independence contained in the Combined Code:

Tony De Nunzio (Deputy chairman and Senior independent director)
Paul Cheng
Lesley Knox
Ian Smith
Peter Wallis

Non-executive directors are appointed for an initial term of three years, subject to re-appointment by shareholders. Their letters of appointment are available for inspection at the Annual General Meeting and on request.
A Committee appointed by the Board, comprising the Chairman and Chief executive officer, agrees the fees of the non-executive directors. The Remuneration Committee determines the Chairman's fee. All directors are subject to re-appointment by shareholders at the first annual general meeting following their appointment by the Board and thereafter at intervals of no more than every three years by rotation under the articles of association.

The separate roles of the Chairman and Chief executive officer are clearly defined. The Chairman is responsible for leadership of the Board, ensuring its effectiveness in all aspects of its role and setting its agenda, and the Chief executive officer for the satisfactory execution of the strategy agreed by the Board working with his fellow executive directors and other executive committee members. Appropriate training is available to all directors. Biographical details of the directors are given on pages 31 to 32.

The Board holds regular meetings and receives accurate and timely information. The Board conducts its procedures for evaluation of its performance, including its committees, through a continuous programme that extends over more than one period. In the first year of the programme, as reported last year, a report was provided to the Board that summarised the feedback given by all directors to an experienced external facilitator on the effectiveness of the Board in the period. The Board identified areas for improvement and incorporated them into its programme for 2005 and subsequent years. In addition, the external facilitator reviewed feedback from discussions with the members of the Board on the performance of the Chairman with the senior independent director. The Board believes that committed relationships are the essential element of an effective Board.

During 2005, the programme was scheduled to focus specifically on the effectiveness of committees. In view of the significant changes to the composition of the Board during the year and its heavy additional commitments as a result of the difficult circumstances of the Company, the completion of this stage of the programme has been deferred and will be reported on next year. The Board met on 12 occasions during the year and has since the year-end met weekly, on many occasions with external advisers, for the purposes of monitoring the progress of the Company in developing its strategic review, the securing of the new Bank facility and the achievement of the planned disposals. This intense activity is believed to have assisted the Board in enhancing its effectiveness.

There is a procedure for all directors to take independent external advice, at the Company's expense, in the course of their duties via the Company secretary. Working with the Chairman, the Company secretary is responsible for ensuring that Board procedures are followed and all directors have access to his advice and services.

The Board has established Audit, Remuneration and Nominations Committees each with defined terms of reference. The terms of reference of these committees are reviewed regularly. Membership of these committees, which is reviewed annually, is shown on page 96. The terms of reference for each committee are available on the Company's website.

AUDIT COMMITTEE

The Audit Committee consists of four independent non-executive directors and is chaired by Tony De Nunzio. The biographies of the independent directors include details of their qualification for their membership of the Committee. The Audit Committee assists the Board in ensuring that the Group's financial systems provide accurate and up-to-date information on its financial position and that the Group's published financial statements represent a true and fair reflection of this position. It also assists the Board in ensuring that appropriate accounting policies, internal controls and compliance procedures are in place and monitors the management of risk and the effectiveness of the internal audit function by reviewing its work schedule and reports.

During the year, the Committee has monitored the implementation, under the supervision of the Risk Committee as described below, of a number of enhancements to the Group's Risk Management Process, introduced following issues arising on the introduction of new supply chain systems. These enhancements included a new assessment process for risks and an improved Risk Miligation Plan.

Details of Deloitte and Touche's fees for audit and non-audit work during 2005 are on page 68. The Committee reviews the appropriateness of all non-audit work. The Audit Committee met three times during 2005.

REMUNERATION COMMITTEE

The Remuneration Committee consists of four independent non-executive directors and is chaired by Lesley Knox. It is responsible for advising on the remuneration packages needed to attract, retain and motivate executive directors of the required quality. The Remuneration Committee is responsible for developing strategy and policy on executive remuneration, deciding on the remuneration packages of individual executive directors and reviewing the remuneration and policy of certain other senior executives who are not on the Board. The Committee

is regularly assisted in its work by its appointed firm of professional advisers, the Chairman, the Chief executive officer, the Company secretary and the Company's internal Human Resources function. Full details on the committee's work are contained in the remuneration report on pages 35 to 48. This report includes details on remuneration policy, terms of appointment and the remuneration of executive directors.

The Committee's policy on service contracts had previously been to offer a notice period for termination by the Company or director of 12 months with liquidated damages of 12 months' base salary applied to any payment of compensation on termination. On change of control of the Company, liquidated damages of 18 months' base salary would have become payable. This policy, which did not comply with provision B.1.6 of the Code was changed by the Committee last year and service contracts of executive directors, including Mark Robson's (appointed as a director in April 2005 now provide that liquidated damages of 12 months' base salary may become payable on a change of control.

During 2005 the Committee met four times.

NOMINATIONS COMMITTEE

The Nominations Committee consists of the Chairman and four independent non-executive directors. The Committee keeps under review the composition of the Board, including succession, and makes recommendations to the Board for all new appointments and re-appointments.

During 2005 the Nominations Committee met four times.

RELATIONS WITH SHAREHOLDERS

The Company considers its relationship with both institutional and private investors to be important and readily enters into dialogue with investors. The Company has consulted regularly with its principal shareholders in the course of the last year, both where the Board considered it appropriate, in relation to developments affecting the Company and also in relation to its executive incentive proposals for the coming year. The Senior independent director makes himself available for meetings with shareholders as required. An investor relations website, (www.mfigroup.co.uk) provides an ideal channel for communication with existing and potential investors. The Annual General Meeting provides an opportunity for shareholders to put their questions to the directors.

The Board receives regular reports from the Chief financial officer on relations with the major shareholders and developments and changes in their shareholdings. At the Annual General Meeting the Company proposes separate resolutions on each substantially separate issue and the numbers of proxy votes cast for and against each resolution are made available to shareholders when voting has been completed. The notice of the Annual General Meeting is sent to shareholders at least 20 working days before the meeting.

RISK AND INTERNAL CONTROL

The Board is responsible for the Group's system of internal control and for reviewing its effectiveness, whilst the role of management is to implement Board policies on risk and control. Such a system is, however, designed to manage rather than eliminate the risks of failure to achieve business objectives. In pursuing these objectives, internal controls can only provide reasonable assurance against mis-statement or loss.

The Combined Code recommends that the Board at least annually reviews the effectiveness of the Group's system of internal controls, including financial, operational and compliance controls and risk management. Subsequently the Institute of Chartered Accountants in England and Wales produced further guidance on the wider aspects of internal control in September 1999 (the Turnbull Guidance).

i. Risk

Following the introduction of the Turnbull Guidance the Board enhanced the Group's existing risk management procedures. The Board can confirm that, for the 2005 financial year and up to the date of approval of the annual report and financial statements, there has been an ongoing process for identifying, evaluating and managing the significant risks faced by the Group, that is reviewed regularly by the Board and accords with the Turnbull Guidance.

The Risk Committee is chaired by the Chief financial officer and is comprised of nine senior executives from the key areas of the business. It is the responsibility of the Risk Committee to review the effectiveness of the risk management process and internal controls, on behalf of the Board. The Risk Committee regularly reports to the Board on how risks are being managed. In addition, there is a mechanism in place to report significant control breakdowns or risk occurrences to the Executive Committee.

An ongoing process for the effective management of risk has been defined by the Risk Committee and is operated in the following stages:

- Risks raised by all areas of the business, through the adoption of both a 'bottom-up' and 'top-down' process are regularly reviewed. The key risks to each business area's objectives are identified and scored for probability and impact. The key controls to manage the risks to the desired level are identified.
- A database of all risks and controls is utilised, and the information filtered to produce a number of generic risk areas, forming a key risk register for the Group.
- The Risk Committee reviews the risks to assess the effectiveness of the risk management strategies.
- Key management are nominated in each business area, and are responsible for reviewing their functions' risk register. Regular reporting on internal and external changes that affect the risks or their importance to the business, and any risk occurrences, are received from these managers.
- The generic risks and their management are regularly reported to and discussed at the Executive Committee.

ii. Internal Control

The Group has an established framework of internal controls, which includes the following key elements:

- Members of the Board have responsibility for monitoring the conduct and operations of individual businesses within the Group. The Group reviews the strategies of the individual businesses and the executive management of each business is accountable for their conduct and performance within the agreed strategies.
- The Group and its subsidiaries operate control procedures designed to ensure complete and accurate accounting of financial transactions, and to limit exposure to loss of assets or fraud. Measures taken include physical controls, segregation of duties in key areas and periodic Internal Audit reviews.
- The Audit Committee meets regularly and its responsibilities are set out above. It receives reports from the Internal Audit function on the results of work carried out under a semi-annually agreed audit programme. The Audit Committee has independent access to the internal and external auditors.
- Internal Audit facilitates a process whereby businesses provide certified statements of compliance with internal financial controls, which are supported by the operation of key controls during the period.

GOING CONCERN

After reviewing current performance and detailed forecasts, taking into account available bank facilities and making further enquiries as considered appropriate, the directors are satisfied that the Group has adequate resources to enable it to continue in business for the foreseeable future. For this reason the Board believes it is appropriate to continue to adopt the going concern basis in preparing the financial statements.

COMPLIANCE WITH THE COMBINED CODE

The Group has complied, except where explained in this report, with the requirements of the Financial Services Authority relating to the provisions of the Combined Code and with the Turnbull Guidance throughout the period ended on 24 December 2005 and up to the date of approval of the annual report and financial statements.

STATEMENT OF DIRECTORS' RESPONSIBILITIES

United Kingdom company law requires the directors to prepare financial statements for each financial period, which give a true and fair view of the state of affairs of the Company as at the end of the period and of the profit or loss of the Company for that period. In preparing those financial statements the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 1985. They are also responsible for the system of internal control, safeguarding the assets of the Company and hence for taking responsible steps for the prevention and detection of fraud and other irregularities.

ATTENDANCE AT MEETINGS

The following table shows the number of meetings individual directors could have attended (taking account of appointment and retirement dates during the year) and their actual attendance. For the committees, only the attendance of members of that committee is shown, although other directors, where appropriate, have often also attended at the invitation of the chairman of the committee:

	Main Board meetings		Audit Committee meetings		Remuneration Committee meetings		Nominations Committee meetings	
Current directors	Possible attendance	Actual attendance	Possible attendance	Actual attendance	Possible attendance	Actual attendance	Possible attendance	Actual attendance
Ian Peacock	12	12	–	–	–	–	4	4
Matthew Ingle	12	12	–	–	–	–	–	–
Mark Robson	8	8	–	–	–	–	–	–
Bob Wilson	12	12	–	–	–	–	–	–
Tony De Nunzio	12	12	3	3	4	4	4	3
Paul Cheng	5	2	–	–	–	–	–	–
Lesley Knox	12	12	3	3	4	4	4	3
Ian Smith	12	9	3	2	4	2	4	3
Peter Wallis	12	12	3	3	4	3	4	4
Former directors								
John Hancock	7	7	–	–	–	–	–	–
Mark Horgan	4	4	–	–	–	–	–	–
Sean O'Callaghan	6	6	–	–	–	–	–	–

Independent auditors' report to the members of MFI Furniture Group Plc

We have audited the financial statements of MFI Furniture Group Plc for the 52 weeks ended 24 December 2005 which comprise the profit and loss account, the balance sheets, the cash flow statement, the statement of total recognised gains and losses, the note of historical cost profits and losses, the reconciliation of movements in shareholders' funds, the statement of accounting policies and the related notes 1 to 28. These financial statements have been prepared under the accounting policies set out therein. We have also audited the information in the part of the directors' remuneration report that is described as having been audited.

This report is made solely to the Company's members, as a body, in accordance with section 235 of the Companies Act 1985. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

RESPECTIVE RESPONSIBILITIES OF DIRECTORS AND AUDITORS

As described in the statement of directors' responsibilities, the Company's directors are responsible for the preparation of the financial statements in accordance with applicable United Kingdom law and accounting standards. They are also responsible for the preparation of the other information contained in the annual report including the directors' remuneration report. Our responsibility is to audit the financial statements and the part of the directors' remuneration report described as having been audited in accordance with relevant United Kingdom legal and regulatory requirements and International Standards on Auditing (UK and Ireland).

We report to you our opinion as to whether the financial statements give a true and fair view and whether the financial statements and the part of the directors' remuneration report described as having been audited have been properly prepared in accordance with the Companies Act 1985. We also report to you if, in our opinion, the directors' report is not consistent with the financial statements, if the Company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and transactions with the Company and other members of the Group is not disclosed.

We review whether the corporate governance statement reflects the Company's compliance with the nine provisions of the July 2003 FRC Combined Code specified for our review by the Listing Rules of the Financial Services Authority, and we report if it does not. We are not required to consider whether the Board's statements on internal control cover all risks and controls, or form an opinion on the effectiveness of the Group's corporate governance procedures or its risk and control procedures.

We read the directors' report and the other information contained in the annual report for the above year as described in the contents section including the unaudited part of the directors' remuneration report and consider the implications for our report if we become aware of any apparent mis-statements or material inconsistencies with the financial statements.

BASIS OF AUDIT OPINION

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements and the part of the directors' remuneration report described as having been audited. It also includes an assessment of the significant estimates and judgements made by the directors in the preparation of the financial statements and of whether the accounting policies are appropriate to the circumstances of the Company and the Group, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements and the part of the directors' remuneration report described as having been audited are free from material mis-statement, whether caused by fraud or other irregularity or error. In forming our opinion, we also evaluated the overall adequacy of the presentation of information in the financial statements and the part of the directors' remuneration report described as having been audited.

OPINION

In our opinion:

- the financial statements give a true and fair view in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of affairs of the Company and the Group as at 24 December 2005 and of the profit of the Group for the year then ended; and
- the financial statements and part of the directors' remuneration report described as having been audited have been properly prepared in accordance with the Companies Act 1985.

Deloitte & Touche LLP
Chartered Accountants and Registered Auditors
London
28 February 2006

Consolidated profit and loss account

Turnover – Group and share of joint venture					
Less share of joint ventures					
GROUP TURNOVER					
Cost of sales					
GROSS PROFIT					
Selling and distribution costs					
Administrative expenses					
OPERATING PROFIT/(LOSS)					
Share of operating loss of joint ventures					
TOTAL OPERATING PROFIT/(LOSS) – GROUP AND SHARE OF JOINT VENTURES					
Exceptional item – net profit/(loss) on disposal of fixed assets					
Exceptional item – provision for closure of operations					
PROFIT/(LOSS) ON ORDINARY ACTIVITIES BEFORE INTEREST					
Interest receivable and similar income					
Interest payable and similar charges					
Other finance charges – FRS 17 pension					
(LOSS)/PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION					
Tax on (loss)/profit on ordinary activities					
(LOSS)/PROFIT FOR THE FINANCIAL PERIOD					
Dividends paid					
AMOUNT TRANSFERRED (FROM)/TO RESERVES					
EARNINGS PER SHARE					
Basic (loss)/earnings per 10p ordinary share					
Diluted (loss)/earnings per 10p ordinary share					
EARNINGS PER SHARE (BEFORE EXCEPTIONAL ITEMS)					
Basic (loss)/earnings per 10p ordinary share					
Diluted (loss)/earnings per 10p ordinary share					

* Relates to Hygena Cuisines (see note 28). Included within selling and distribution costs line in the exceptional items column are £0.3m of costs relating to the discontinued operations (2004: £0.4m). Included within profit and loss on disposals is a loss on disposal of assets relating to discontinued operations of £0.2m (2004: £0.2m)

** Restated for FRS 17 – see note 23

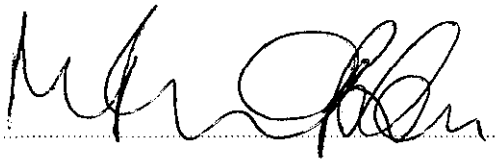
	52 weeks to 24 December 2005					52 weeks to 25 December 2004 (restated*)				
		Before exceptional items					Before exceptional items			
Notes	Continuing operations £m	Discontinued operations* (note 28) £m	Total operations £m	Exceptional items (note 5) £m	Total £m	Continuing operations £m	Discontinued operations* (note 28) £m	Total operations £m	Exceptional items £m	Total £m
2	1,422.7	133.3	1,556.0	–	1,556.0	1,399.1	119.4	1,518.5	–	1,518.5
	(3.8)	–	(3.8)	–	(3.8)	(3.9)	–	(3.9)	–	(3.9)
	1,418.9	133.3	1,552.2	–	1,552.2	1,395.2	119.4	1,514.6	–	1,514.6
	(706.4)	(69.6)	(776.0)	(34.4)	(810.4)	(700.9)	(61.8)	(762.7)	(3.1)	(765.8)
	712.5	63.7	776.2	(34.4)	741.8	694.3	57.6	751.9	(3.1)	748.8
	(629.6)	(53.2)	(682.8)	(58.0)	(740.8)	(573.0)	(50.6)	(623.6)	(32.8)	(656.4)
	(75.1)	(6.3)	(81.4)	(14.3)	(95.7)	(59.0)	(5.0)	(64.0)	4.0	(60.0)
2,4	7.8	4.2	12.0	(106.7)	(94.7)	62.3	2.0	64.3	(31.9)	32.4
	(1.5)	–	(1.5)	–	(1.5)	(2.1)	–	(2.1)	–	(2.1)
	6.3	4.2	10.5	(106.7)	(96.2)	60.2	2.0	62.2	(31.9)	30.3
5	–	–	–	17.4	17.4	–	–	–	(2.0)	(2.0)
5	–	–	–	(20.9)	(20.9)	–	–	–	–	–
	6.3	4.2	10.5	(110.2)	(99.7)	60.2	2.0	62.2	(33.9)	28.3
6	3.9	0.1	4.0	–	4.0	1.8	0.2	2.0	–	2.0
7	(6.3)	–	(6.3)	–	(6.3)	(4.1)	(0.2)	(4.3)	–	(4.3)
7,23	(8.8)	–	(8.8)	–	(8.8)	(5.4)	–	(5.4)	–	(5.4)
	(4.9)	4.3	(0.6)	(110.2)	(110.8)	52.5	2.0	54.5	(33.9)	20.6
8	(2.7)	(2.2)	(4.9)	(2.9)	(7.8)	(22.8)	–	(22.8)	9.6	(13.2)
	(7.6)	2.1	(5.5)	(113.1)	(118.6)	29.7	2.0	31.7	(24.3)	7.4
9	(11.8)	–	(11.8)	–	(11.8)	(23.2)	–	(23.2)	–	(23.2)
5,22	(19.4)	2.1	(17.3)	(113.1)	(130.4)	6.5	2.0	8.5	(24.3)	(15.8)
10					(20.2)p					1.3p
10					(20.2)p					1.2p
10	(0.9)p					5.5p				
10	(0.9)p					5.3p				

Consolidated balance sheet

	Notes	24 December 2005 £m	25 December 2004 (restated*) £m
FIXED ASSETS			
Intangible assets	5,11	–	13.7
Tangible assets	12	262.3	381.6
Investments	13	8.8	8.1
Total fixed assets		271.1	403.4
CURRENT ASSETS			
Stocks	5,14	173.5	238.4
Debtors	5,15	134.5	217.9
Investments	16	5.5	9.4
Cash at bank and in hand		89.0	28.4
		402.5	494.1
CREDITORS: Amounts falling due within one year	17	(246.0)	(359.3)
Net current assets		156.5	134.8
Total assets less current liabilities		427.6	538.2
CREDITORS: Amounts falling due after more than one year	18	(150.0)	(100.0)
Provisions for liabilities and charges	20	(9.6)	(13.5)
Net assets excluding net pension liability		268.0	424.7
NET PENSION LIABILITY	23	(207.2)	(206.2)
Net assets		60.8	218.5
CAPITAL AND RESERVES			
Called up share capital	21	62.7	62.3
Share premium account	22	81.3	77.2
Revaluation reserve	22	13.3	21.8
ESOP reserve	22	(55.0)	(55.1)
Other reserves	22	28.1	28.1
Profit and loss account	22	(69.6)	84.2
Equity shareholders' funds		60.8	218.5

* Restated for FRS 17 – see note 23.

These financial statements were approved by the Board on 28 February 2006 and were signed on its behalf by Mark Robson, Director.



Company balance sheet

	Notes	24 December 2005 £m	25 December 2004 £m
FIXED ASSETS			
Investments	13	669.1	832.0
CURRENT ASSETS			
Debtors	15	109.7	104.7
Cash at bank and in hand		57.7	3.1
		167.4	107.8
CREDITORS: Amounts falling due within one year	17	(5.4)	(15.9)
Net current assets		162.0	91.9
Total assets less current liabilities		831.1	923.9
CREDITORS: Amounts falling due after more than one year	18	(150.0)	(100.0)
Net assets		681.1	823.9
CAPITAL AND RESERVES			
Called up share capital	21	62.7	62.3
Share premium account	22	81.3	77.2
ESOP reserve	22	–	(16.9)
Special reserves	22	482.6	482.6
Profit and loss account	22	54.5	218.7
Equity shareholders' funds		681.1	823.9

These financial statements were approved by the Board on 28 February 2006 and were signed on its behalf by Mark Robson, Director.

Consolidated cash flow statement

	Notes	52 weeks to 24 December 2005 £m	52 weeks to 25 December 2004 £m
Net cash inflow from operating activities	24	24.0	66.7
Returns on investments and servicing of finance	24	(2.3)	(1.4)
Taxation		(3.4)	(33.7)
Capital expenditure and financial investment (net)	24	8.3	(75.7)
Equity dividends paid		(23.4)	(23.2)
Cash inflow/(outflow) before use of liquid resources and financing		3.2	(67.3)
Management of liquid resources		3.9	2.4
Financing	24	53.7	44.6
Increase/(decrease) in cash in the period		60.8	(20.3)
RECONCILIATION OF NET CASH FLOW TO MOVEMENT IN NET DEBT:			
Increase/(decrease) in cash in the period		60.8	(20.3)
Cash movement on:			
– debt and lease financing	24	(50.0)	(50.0)
– cash flow from increase in liquid resources	24	(3.9)	(2.4)
Change in net funds/(debt) resulting from cash flows		6.9	(72.7)
Effect of foreign exchange rate changes	24	(0.2)	(0.1)
MOVEMENT IN NET FUNDS/(DEBT) IN THE PERIOD		6.7	(72.8)
Net (debt)/funds at the beginning of the period	24	(62.2)	10.6
NET DEBT AT THE END OF THE PERIOD	24	(55.5)	(62.2)

Statement of total recognised gains and losses

	52 weeks to 24 December 2005 £m	52 weeks to 25 December 2004 (restated*) £m
(Loss)/profit for the financial period	(118.6)	7.4
Translation differences on foreign currency denominated net investments	(0.2)	(3.0)
Net effect of adopting FRS 17	(29.9)	(199.2)
Total recognised losses relating to the period	(148.7)	(194.8)
Prior year adjustment (FRS 17)	(202.3)	–
TOTAL LOSSES RECOGNISED SINCE LAST ANNUAL REPORT AND FINANCIAL STATEMENTS	(351.0)	(194.8)

* Restated for FRS 17 – see note 23.

Reconciliation of movements in equity shareholders' funds

	52 weeks to 24 December 2005 £m	52 weeks to 25 December 2004 (restated*) £m
Total recognised losses for the period	(148.7)	(194.8)
Dividends	(11.8)	(23.2)
Net amortisation of/(additions to) ESOP trust	0.1	(12.9)
Shares issued	2.7	2.2
Net reduction to equity shareholders' funds	(157.7)	(228.7)
Opening equity shareholders' funds as previously stated	420.8	447.2
Net effect of adopting FRS 17	(202.3)	–
Adjusted equity shareholders' funds at beginning of period	218.5	447.2
EQUITY SHAREHOLDERS' FUNDS AT END OF THE PERIOD	60.8	218.5

* Restated for FRS 17 – see note 23.

Note of historical cost profits and losses

	52 weeks to 24 December 2005 £m	52 weeks to 25 December 2004 (restated*) £m
Reported (loss)/profit on ordinary activities before taxation	(110.8)	20.6
Realisation of property revaluation gains of previous periods	8.5	0.5
HISTORICAL COST (LOSS)/PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION	(102.3)	21.1
HISTORICAL COST LOSS FOR THE PERIOD AFTER TAXATION AND DIVIDENDS	(121.9)	(15.3)

* Restated for FRS 17 – see note 23.

Notes to the financial statements

1. ACCOUNTING POLICIES

ACCOUNTING CONVENTION

The regulation for reporting under the International Reporting Standards (IFRS) applies to all accounting periods beginning on or after 1 January 2005. The Group's accounting period started on 26 December 2004 and so these financial statements have been prepared in accordance with applicable United Kingdom law and accounting standards under the historical cost convention as modified by the revaluation of certain land and buildings. The following principal accounting policies have been applied consistently in dealing with items which are considered material in relation to the Group's financial statements.

The accounting policies are consistent with those applied to the audited financial statements for the 52 weeks to 25 December 2004, with the exception of the adoption of FRS 17, "Retirement benefits" in full in 2005. The Group is required to adopt FRS 17 retrospectively and therefore the comparative figures have been restated. The new accounting policy for pensions is set out below, and the effect of the restatement is shown in note 23.

BASIS OF PREPARATION

The consolidated financial statements include the financial statements of MFI Furniture Group Plc and all its subsidiary undertakings for the 52 week period ended 24 December 2005.

These financial statements do not include a separate profit and loss account for MFI Furniture Group Plc (the parent company) as permitted by Section 230 of the Companies Act 1985.

TURNOVER

Turnover represents the net value of goods sold, based on despatch of goods or services provided to customers outside the Group, excluding sales taxes.

GOODWILL

Goodwill arising on all acquisitions prior to 24 April 1999 (the Group's old accounting period) remains eliminated against reserves. This goodwill will be charged to the profit and loss account on subsequent disposal of the business to which it relates. Goodwill arising on acquisitions after 24 April 1999 is treated as an asset on the balance sheet and held at cost less amortisation and provision for impairment.

JOINT VENTURES AND FIXED ASSET INVESTMENTS

Joint ventures are accounted for in the financial statements of the Group under the gross equity method of accounting. Investments are stated at cost less any provision for impairment.

REVALUATION OF FIXED ASSETS

FRS 15 'Tangible fixed assets' has been adopted and the directors have decided that, as permitted by the transitional provisions of the standard, properties at valuation have been retained on the basis of their valuation at 1 January 2000. Freehold and long leasehold properties are included in fixed assets at their latest valuation at that date plus subsequent additions at cost, less depreciation. Surpluses on revaluation are included in the revaluation reserve and deficits are realised in the profit and loss account.

1. ACCOUNTING POLICIES (CONTINUED)

FIXED ASSETS AND DEPRECIATION

Fixed assets are stated at cost or valuation, less depreciation, and less any provision for impairment. Depreciation is provided to write off the difference between the cost or valuation of tangible fixed assets, excluding freehold land, and their residual value over their estimated useful lives on a straight-line basis. The current range of useful lives is as follows:

Freehold buildings	50 years
Long leasehold property	over period of lease
Short leasehold property	over period of lease
Fixtures and fitting	2-10 years
Plant and machinery	3-10 years

STOCKS

Stocks are stated at the lower of cost and net realisable value. Cost includes an attributable proportion of manufacturing overheads based on budgeted levels of activity. Provision is made for obsolete, slow-moving or defective items where appropriate.

DEFERRED TAXATION

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date. Except where otherwise required by Accounting Standards no timing differences are recognised in respect of:

a. property revaluation surpluses where there is no commitment to sell the asset, and
b. gains on sale of assets where those assets have been rolled over into replacement assets, and
c. additional tax which would arise if profits of overseas subsidiaries were distributed, and
d. deferred tax assets to the extent that they are regarded as not likely to be recovered.

FINANCIAL INSTRUMENTS

The Group uses derivative financial instruments to manage its exposure to interest rate and foreign exchange risks. These may include interest rate swaps and forward currency contracts. Amounts payable or receivable in respect of interest rate derivatives are accrued with net interest payable over the period of the contract. Accounting for foreign currency transactions is described in the foreign currency policy set out below. Note 19 includes disclosures required under FRS 13 'Derivatives and other financial instruments'.

FOREIGN CURRENCY

Transactions in foreign currencies are recorded using the rate of exchange ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated using the rate of exchange ruling at the balance sheet date and the gains or losses on translation are included in the profit and loss account. Gains or losses arising from foreign exchange hedged contracts are taken to the profit and loss account in line *with the transactions which they are hedging.*

For consolidation purposes, the assets and liabilities of overseas subsidiary undertakings and branches are translated at the closing exchange rates, with the profit and loss account being translated at the average rate applying during the period in which the transactions took place. Exchange differences arising on these *translations are taken to reserves.*

1. ACCOUNTING POLICIES (CONTINUED)

LEASED ASSETS

Assets held under finance leases are capitalised as tangible fixed assets and depreciated over the shorter of their estimated useful lives and the period of the lease. Rentals are apportioned between reductions in the capital obligations included in creditors and finance charges which are charged to the profit and loss account at a constant effective rate of interest.

Rentals under operating leases are charged on a straight-line basis over the lease term, even if the payments are not made on such a basis. Benefits, receivable as incentives to enter into property leases, being reverse premiums and rent-free periods, are spread evenly over the period to the first rent review date. Pre-opening expenses are charged to the profit and loss account as incurred.

PENSIONS

The Group operates two defined benefit funded pension schemes for directors and other employees. The pension costs are assessed in accordance with the advice of an independent qualified actuary and are charged to the profit and loss account so as to spread the costs over the expected remaining lives of employees. Both pension schemes are subject to full actuarial valuation every three years.

The Group had adopted the transitional requirements of FRS 17 'Retirement benefits' in our accounts since the year ended 29 December 2001. In the year to 24 December 2005, we have now adopted the recognition and measurement principles of the standard. The effects of this change are shown in note 23.

For defined benefit schemes the amounts charged to operating profit are the current service charge costs and gains and losses on settlements and curtailments. They are included as part of staff costs. Past service costs are recognised immediately in the profit and loss account if the benefits are vested. If the benefits have not vested immediately the costs are recognised over the period until vesting occurs. The interest cost and the expected return on assets are shown as a net amount of other finance costs or credits adjacent to interest. Actuarial gains and losses are recognised immediately in the statement of total recognised gains and losses.

Defined benefit schemes are funded, with the assets of the scheme held separately from those of the Group, in separate trustee administered funds. Pension scheme assets are measured at fair value and liabilities are measured on an actuarial basis using the projected unit method and discounted at a rate equivalent to the current rate of return on a high quality corporate bond of equivalent currency and term to the scheme liabilities. The actuarial valuations are obtained at least triennially and are updated at each balance sheet date. The resulting defined asset or liability, net of the related deferred tax, is presented separately after other net assets on the face of the balance sheet.

2. SEGMENTAL ANALYSIS

The analysis of turnover by destination is not materially different to the analysis of turnover by origin.

	52 weeks to 24 December 2005 £m	52 weeks to 25 December 2004 £m
TURNOVER		
Howden Joinery	617.8	559.1
UK Retail	787.8	825.1
France Retail	133.3	119.4
Howden Millwork	9.3	7.3
Other operations	4.0	3.7
	1,552.2	1,514.6
Joint venture operations	3.8	3.9
TOTAL	1,556.0	1,518.5

2. SEGMENTAL ANALYSIS (CONTINUED)

	24 December 2005 £m	25 December 2004 (restated) £m
NET ASSETS		
Howden Joinery	101.6	141.8
UK Retail	191.1	305.9
France Retail	29.6	40.2
Howden Millwork	(4.2)	8.8
Other operations	4.6	1.7
Joint venture operations	0.8	0.1
	323.5	498.5
Unallocated net assets/(liabilities):		
Pension deficit	(207.2)	(206.2)
Dividend accrual	–	(11.6)
Cash and current asset investments	94.5	37.8
Loans	(150.0)	(100.0)
TOTAL	60.8	218.5

	52 weeks to 24 December 2005			52 weeks to 25 December 2004 (restated)		
	Before exceptional items £m	Exceptional items £m	Total £m	Before exceptional items £m	Exceptional items £m	Total £m
PROFIT BEFORE TAXATION						
Howden Joinery	103.6	0.7	104.3	102.8	2.5	105.3
UK Retail	(85.1)	(94.9)	(180.0)	(31.3)	(14.0)	(45.3)
France Retail	4.2	(0.3)	3.9	2.0	(0.4)	1.6
Howden Millwork	(6.9)	–	(6.9)	(8.6)	–	(8.6)
Other operations	(3.8)	–	(3.8)	(0.6)	–	(0.6)
Operating exceptional item re supply chain computer system	–	(14.9)	(14.9)	–	(20.0)	(20.0)
Operating exceptional item re pensions	–	40.1	40.1	–	–	–
Operating exceptional item re stock	–	(34.0)	(34.0)	–	–	–
Operating exceptional item re restructuring	–	(3.4)	(3.4)	–	–	–
Total operating profit	12.0	(106.7)	(94.7)	64.3	(31.9)	32.4
Joint venture operations	(1.5)	–	(1.5)	(2.1)	–	(2.1)
Total operating profit (Group and JVs)	10.5	(106.7)	(96.2)	62.2	(31.9)	30.3
Profit/(loss) on disposal of fixed assets	–	17.4	17.4	–	(2.0)	(2.0)
Provision for closure of operations (note 5f)	–	(20.9)	(20.9)	–	–	–
Net interest payable	(2.3)	–	(2.3)	(2.3)	–	(2.3)
FRS 17 pension finance charges	(8.8)	–	(8.8)	(5.4)	–	(5.4)
(Loss)/profit before taxation	(0.6)	(110.2)	(110.8)	54.5	(33.9)	20.6

3. STAFF COSTS

The aggregate payroll costs of employees, including executive directors, were:

	52 weeks to 24 Dec 2005 £m	52 weeks to 25 Dec 2004 £m
Wages and salaries	326.8	307.5
Social security costs	25.0	22.9
Other pension costs (note 23)	24.6	16.0
	376.4	346.4

The numbers above include a net credit of £2.0m (2004: £7.5m) in respect of share incentive schemes and associated national insurance in 2005.

The average number of persons (full time equivalent including executive directors) employed by the Group during the period was as follows:

	52 weeks to 24 Dec 2005 Number	52 weeks to 25 Dec 2004 Number
UK Retail	6,287	6,034
Howden Joinery	3,422	2,860
Howden Millwork	142	119
Houdan France	42	–
Manufacturing	2,068	2,152
Other operations	13	15
CONTINUING OPERATIONS	11,974	11,180
France Retail	905	876
TOTAL OPERATIONS	12,879	12,056

Details of directors' remuneration, including pension entitlements, share option interests, and compensation for loss of office are disclosed in the Report on Remuneration on pages 35 to 48.

4. OPERATING (LOSS)/PROFIT

	52 weeks to 24 Dec 2005 £m	52 weeks to 25 Dec 2004 £m
Operating (loss)/profit from ordinary activities is stated after charging/(crediting):		
Operating lease payments		
– Hire of plant and equipment	16.9	15.1
Operating lease payments		
– Land and buildings	113.3	102.5
– Rent receivable	(12.1)	(13.5)
Net rent payable	101.2	89.0
Depreciation – owned assets	65.4	57.1
Amortisation of goodwill (note 11)	0.7	0.7
Share incentive scheme credit	(1.0)	(5.9)
Auditors' remuneration		
– Audit fees	0.4	0.4
– Other fees paid to the auditor and its associates:		
– Tax	0.3	0.3
– Other assurance	0.1	0.4
– Other	–	0.1

Auditors' remuneration in respect of the statutory audit of the Company was £2,000 (2004: £2,000).

5. EXCEPTIONAL ITEMS

Exceptional costs charged to profit in the year are analysed as follows:

	Cost of sales £m	Selling and distribution £m	Administrative expenses £m	Total £m
OPERATING EXCEPTIONALS:				
Supply chain (note 5A)	0.4	5.0	–	5.4
Restructuring (note 5A)	–	–	3.4	3.4
Credit on share-based payments and associated national insurance (note 5A)	–	–	(2.0)	(2.0)
Pensions NRD (note 5B)	–	–	(40.1)	(40.1)
Structural guarantee (note 5C)	–	38.7	–	38.7
Profit on novation (note 5C)	–	(3.0)	–	(3.0)
Impairment (note 5D)	34.0	17.3	53.0	104.3
Total charged to operating profit	34.4	58.0	14.3	106.7
NON OPERATING EXCEPTIONALS:				
Profit on disposal (note 5E)				(17.4)
Cost of closures (note 5F)				20.9
Total charged to operating profit				110.2
Tax charge on exceptional items				2.9
TOTAL EXCEPTIONAL COSTS AFTER TAX				113.1

A. EXCEPTIONAL ITEMS – SUPPLY CHAIN, RESTRUCTURING COSTS AND SHARE SCHEMES

Exceptional items of £5.4m, before tax (2004: £31.9m), are included in operating loss in respect of the supply chain. In addition, £3.4m has been spent on restructuring in the year. There has also been a £2.0m net credit in respect of share scheme amortisation and associated national insurance where performance conditions are no longer expected to be met (2004: £7.5m). The charges are made up as follows:

	£m	£m
Additional delivery and associated remedial costs	1.2	
Additional staff and consultancy costs	3.9	
Redundancy costs	0.3	
		5.4
Restructuring costs		3.4
Credit re share-based payment amortisation and associated national insurance (note 3)		(2.0)
OPERATING EXCEPTIONAL COSTS BEFORE TAX		6.8
Tax credit on operating exceptional items		(1.2)
OPERATING EXCEPTIONAL COSTS AFTER TAX		5.6

5. EXCEPTIONAL ITEMS (CONTINUED)

B. EXCEPTIONAL ITEM – PENSIONS

On 6 May 2004, the Group announced additional pension liabilities arising from a failure to equalise the pension age for men and women at age 65. Under FRS 17 valuation methods, these additional liabilities were estimated at £50.0m. In May 2005 the Group wrote to certain members of the UK pension plans offering them an immediate cash payment in exchange for giving up any claim a member may have to possible additional pension benefits arising from the equalisation issue. The closing date for the offers was 8 July 2005.

By value 87.4% of the eligible members accepted the cash offer. This has resulted in a total cash payment of £16.0m in respect of all members who have accepted the cash offer in 2005. The cash has been paid and the expense for all members who accepted the offer has been recognised in these accounts. The effect of these settlements is to reduce the additional liability (originally estimated at £50.0m on on FRS 17 basis) by £45.0m. This reduction in liability has also been reflected in these accounts.

On 14 March 2005 the Group announced that it had received a cash settlement of £12.0m from one of the third parties on whose advice the Group and the pension plan trustees had relied. The cash payments and the reduction in deficit for all offers accepted, together with the cash settlement received from a third party and the associated legal fees, have been treated as exceptional items, included in operating loss. The effect of these items is:

	£m	£m
Reduction in pension deficit following acceptance of cash offer	45.0	
Cost of cash offer	(16.0)	
Cash settlement received from third party	12.0	
Professional fees incurred	(0.9)	
NET OPERATING EXCEPTIONAL CREDIT BEFORE TAX		40.1
Tax charge on operating exceptional items		(8.4)
NET OPERATING EXCEPTIONAL CREDIT AFTER TAX		31.7

C. EXCEPTIONAL ITEM – STRUCTURAL GUARANTEE

Between August 2001 and May 2004 the Group introduced an optional insurance-backed structural guarantee on certain items of furniture sold in its UK retail stores. Value Added Tax (VAT) was paid on the furniture element of the transaction and Insurance Premium Tax (IPT) was paid on the sale of these warranties.

An assessment totalling £60.5m was raised on the VAT on the sale of the warranties and the relevant tax was paid to HM Revenue & Customs at the time. This payment was carried on the balance sheet as a debtor without any provision, as at the time we believed that we had a strong legal case to recover this money in full.

To date, the following amounts have been recorded:

	Cumulative £m	2005 £m	2004 £m	2003 £m	2002 £m	2001 £m
Reduction in VAT	60.5	–	10.5	20.7	22.0	7.3
IPT paid	(15.3)	–	(2.3)	(5.3)	(5.6)	(2.1)
External insurance premium/expenses	(7.7)	–	(1.2)	(2.5)	(2.8)	(1.2)
Reinsurance premium to Group company	(12.5)	–	(2.1)	(4.2)	(4.5)	(1.7)
Underwriting profit recognised by Group company	8.4	5.5	1.9	1.0	–	–
Profit taken to profit and loss account	33.4	5.5	6.8	9.7	9.1	2.3

5. EXCEPTIONAL ITEMS (CONTINUED)

C. EXCEPTIONAL ITEM – STRUCTURAL GUARANTEE (CONTINUED)

80% of the insurance was reinsured by the external insurer through the Group's captive insurance company, Southon Insurance Company Limited.

MFI has reached a settlement with HM Revenue & Customs in January 2006 over this VAT dispute as the resource required, and associated litigation risk, was deemed to be a distraction to achieving a successful implementation of the new business strategy. Both parties have agreed to settle, with HM Revenue & Customs refunding £21.8m to MFI. As a result, MFI has written off the balance of the receivable of £38.7m in the accounts for the 52 weeks to 24 December 2005. The money was collected in February 2006.

The exceptional item of £38.7m in respect of the Structural Guarantee included in operating loss is made up as follows:

	£m	£m
Structural guarantee debtor at 24 December 2005	60.5	
HM Revenue & Customs refunding	(21.8)	
NET OPERATING EXCEPTIONAL COST BEFORE TAX		38.7
Tax credit on operating exceptional items		–
NET OPERATING EXCEPTIONAL COST AFTER TAX		38.7

In addition, part of the structural guarantee furniture insurance programme undertaken by the Group's captive insurance company – Southon Insurance – has been novated to an external insurance company; this transaction generated an underwriting profit of £3.0m which is included in operating profit. The effect of this item is:

	£m
Profit on novation	3.0
Tax charge on operating exceptional item	(0.9)
NET OPERATING EXCEPTIONAL CREDIT AFTER TAX	2.1

D. EXCEPTIONAL PROVISION FOR IMPAIRMENT

As a result of the continued underperformance of the UK Retail business in accordance with FRS 11 we have assessed the assets of UK Retail and as a result impaired the UK Retail assets by £42.4m. In addition £14.9m has been provided against the SAP system (2004: £20.0m) and £13.0m has been provided against the goodwill relating to the Sofa Workshop acquisition. Stock valuations have also been reduced by £34.0m for obsolete and excess stock.

	£m	£m
UK Retail impairment	42.4	
Write off of elements of the supply chain computer system capitalised in prior years	14.9	
Impairment of goodwill on Sofa Workshop acquisition	13.0	
Stock write-down	34.0	
OPERATING EXCEPTIONAL COSTS BEFORE TAX		104.3
Tax credit on operating exceptional items		–
OPERATING EXCEPTIONAL COSTS AFTER TAX		104.3

5. EXCEPTIONAL ITEMS (CONTINUED)

E. PROFIT ON DISPOSAL OF FIXED ASSETS

The profit on disposal of fixed assets of £17.4m (52 weeks to 25 December 2004: loss of £2.0m), represents net gains on disposal of land and buildings and fixtures and fittings. The associated deferred tax credit is £1.3m (25 December 2004: £nil).

F. EXCEPTIONAL PROVISION FOR CLOSURE

As announced in our press release of 11 May 2005, the Group agreed with our joint venture partners to end the venture, Hygena @ Currys, by mutual agreement following a comprehensive review of the business. A closure programme for the Hygena concessions, which traded in 130 of Currys' 370 stores, is now complete.

In our press release of 1 December 2005, the Group announced it is to close its US pilot operation Howden Millwork. A closure programme for the 20 depots is in place and we expect trading to cease by April 2006 and operations to cease by June 2006. In addition, the Group announced the sale of its 50% interest in its Taiwan joint venture to its Taiwanese partner and announced the closure of the UK joint venture with Ethan Allen. A closure programme for the two Ethan Allen stores is in place and we expect it to be finished by March 2006. The sale of the Group's 50% interest in its Taiwan joint venture to its Taiwanese partner was completed in December 2005.

In accordance with FRS 3, we have disclosed the costs of closure (including provision for future operating losses) of these businesses, and have treated them as post-operating exceptional items. The costs comprise the following items:

	£m	£m
Costs of closure – Hygena @ Currys	6.5	
Costs of closure – Howden Millwork	13.1	
Costs of closure – Ethan Allen	1.4	
		21.0
Cost of closure – Taiwan	0.3	
Receipt from sale of 50% share of joint venture	(0.4)	
		(0.1)
EXCEPTIONAL PROVISION FOR CLOSURE BEFORE TAX		20.9
Tax credit on operating exceptional items		(3.9)
EXCEPTIONAL PROVISION FOR CLOSURE AFTER TAX		17.0

6. INTEREST RECEIVABLE AND SIMILAR INCOME

	52 weeks to 24 Dec 2005 £m	52 weeks to 25 Dec 2004 £m
Bank interest receivable	4.0	2.0

7. INTEREST PAYABLE AND SIMILAR CHARGES

	52 weeks to 24 Dec 2005 £m	52 weeks to 25 Dec 2004 (restated) £m
Bank loans	6.3	4.3
Pensions finance charge	8.8	5.4

8. TAX ON (LOSS)/PROFIT ON ORDINARY ACTIVITIES

	52 weeks to 24 Dec 2005 £m	52 weeks to 25 Dec 2004 £m
Taxation on (loss)/profit for the period comprises:		
UK corporation tax at 30.0% (2004: 30.0%)	–	14.6
Overseas tax	1.5	–
Current tax adjustment relating to prior periods	(1.7)	3.9
Total current tax	(0.2)	18.5
Deferred tax charge/(credit)	8.0	(5.3)
	7.8	13.2

The taxation charge is calculated at 816.7% (2004: 41.8% restated) on profits before profit/loss on disposal of fixed assets and other exceptional items.

FACTORS AFFECTING CURRENT PERIOD CORPORATION TAX

The current period corporation tax assessed for the period is higher than the standard rate of corporation tax of 30.0% (2004: 30.0%) for the following reasons:

	52 weeks to 24 Dec 2005 £m	52 weeks to 25 Dec 2004 £m
(Loss)/profit on ordinary activities before taxation	(110.8)	20.6
Corporation tax at the standard rate	(33.3)	6.2
Differences between depreciation and capital allowances	0.6	0.2
Movements in short-term timing differences	(10.2)	1.5
Expenses not deductible for tax	25.4	1.4
Overseas tax losses not taken	0.6	0.5
Capital losses utilised	(6.9)	–
Non-qualifying depreciation	4.5	4.8
Non-assessable income	(3.6)	–
Tax at higher overseas rates	0.2	–
Losses utilised	(0.7)	–
Losses not taken	24.9	–
Adjustment relating to prior periods	(1.7)	3.9
Group current tax (credit)/charge for the period	(0.2)	18.5

9. EQUITY DIVIDENDS

	52 weeks to 24 Dec 2005 £m	52 weeks to 25 Dec 2004 £m
Interim paid – 2.0 pence per share (2004 – 2.0 pence per share)	11.8	11.6
Final proposed – nil (2004 – 2.0 pence per share)	–	11.6
Total dividend – 2.0 pence per share (2004 – 4.0 pence per share)	11.8	23.2

10. EARNINGS PER SHARE

	52 weeks to 24 December 2005			52 weeks to 25 December 2004		
	Earnings £m	Weighted average number of shares m	Earnings per share p	Earnings (restated) £m	Weighted average number of shares m	Earnings per share (restated) p
Earnings per share:						
Basic (loss)/earnings per share	(118.6)	588.4	(20.2)	7.4	581.0	1.3
Effect of dilutive share options	–	–	–	–	17.9	(0.1)
Diluted (loss)/earnings per share	(118.6)	588.4	(20.2)	7.4	598.9	1.2
Reconciliation of (loss)/earnings per share to exclude exceptional items:						
Basic (loss)/earnings per share	(118.6)	588.4	(20.2)	7.4	581.0	1.3
Exceptional items (net of tax)	113.1	–	19.3	24.3	–	4.2
Basic (loss)/earnings per share excluding exceptional items	(5.5)	588.4	(0.9)	31.7	581.0	5.5
Diluted (loss)/earnings per share	(118.6)	588.4	(20.2)	7.4	598.9	1.2
Exceptional items (net of tax)	113.1	–	19.3	24.3	–	4.1
Diluted (loss)/earnings per share excluding exceptional items	(5.5)	588.4	(0.9)	31.7	598.9	5.3

Earnings per share (EPS) excluding exceptional items has been calculated to show the impact of these exceptional items, as they can have a significant effect on earnings and therefore warrant separate consideration.

In accordance with FRS14, as the Company is loss making in 2005, no adjustment has been made to diluted EPS, therefore diluted EPS equals basic EPS.

11. INTANGIBLE FIXED ASSETS

	Goodwill £m
COST	
At 25 December 2004 and 24 December 2005	15.3
AMORTISATION	
At 25 December 2004	1.6
Charge in the period	0.7
Impairment of asset	13.0
AT 24 DECEMBER 2005	15.3
NET BOOK VALUE AT 24 DECEMBER 2005	–
Net book value at 25 December 2004	13.7

The goodwill amortisation charge in both 2004 and 2005 was included under the heading 'Administrative expenses' in the profit and loss account.

12. TANGIBLE FIXED ASSETS

	Freehold properties £m	Leasehold properties Over 50 years £m	Leasehold properties Under 50 years £m	Plant and machinery £m	Fixtures and fittings £m	Capital W.I.P. £m	Total £m
COST OR VALUATION							
Cost or valuation							
At 26 December 2004	95.0	36.6	73.8	248.0	231.7	17.8	702.9
Exchange adjustments	(0.3)	(0.2)	–	(0.1)	(1.6)	–	(2.2)
Additions	1.4	0.2	7.8	11.4	24.3	2.2	47.3
Disposals	(34.5)	(7.1)	(6.0)	(4.5)	(9.5)	–	(61.6)
Reclassifications	1.0	0.1	0.3	17.8	(4.7)	(14.5)	–
AT 24 DECEMBER 2005	62.6	29.6	75.9	272.6	240.2	5.5	686.4
DEPRECIATION							
At 26 December 2004	5.8	5.1	26.6	160.5	123.3	–	321.3
Exchange adjustments	(0.1)	–	–	–	(0.8)	–	(0.9)
Charge for the period	1.3	0.5	4.0	23.1	36.5	–	65.4
Impairment charge	–	–	–	14.9	40.0	–	54.9
Disposals	(3.6)	(0.4)	(2.6)	(3.4)	(6.6)	–	(16.6)
Reclassifications	–	–	–	4.3	(4.3)	–	–
AT 24 DECEMBER 2005	3.4	5.2	28.0	199.4	188.1	–	424.1
NET BOOK VALUE AT 24 DECEMBER 2005	**59.2**	**24.4**	**47.9**	**73.2**	**52.1**	**5.5**	**262.3**
Net book value at 25 December 2004	89.2	31.5	47.2	87.5	108.4	17.8	381.6

There were no capitalised leases included in plant and machinery at 24 December 2005 or 25 December 2004.

Freehold properties cost or valuation includes land of £16.8m (2004: £37.1m) on which depreciation is not provided. The directors have decided that, as permitted by FRS 15 'Tangible fixed assets', properties at valuation will be retained on the basis of their valuation at 1 January 2000. The last revaluation performed was in April 1999 when the Group's UK freehold land and buildings, together with the UK long leasehold properties, were valued by Fisher Wilson Property Consultants and King Sturge & Co who are both external qualified valuers and members of the Royal Institute of Chartered Surveyors ('RICS'). Properties were valued on an open market value for existing use or depreciated replacement cost bases, as appropriate, in accordance with the RICS Appraisal and Valuation Manual. Vacant properties were valued on an open market value basis.

Freehold and long leasehold properties at 24 December 2005 comprise:

	Freehold properties £m	Leasehold properties over 50 years £m	Overseas freehold and long leasehold £m	Total £m
Cost	67.1	26.4	10.7	104.2
Accumulated depreciation	(10.5)	(12.1)	(4.1)	(26.7)
Historical book value	56.6	14.3	6.6	77.5
1999 revaluation surplus	2.4	10.9	–	13.3
1999 revaluation deficits	(5.6)	(1.6)	–	(7.2)
NET BOOK VALUE AT 24 DECEMBER 2005	**53.4**	**23.6**	**6.6**	**83.6**

13. FIXED ASSET INVESTMENTS

	Shares in subsidiary undertakings at cost £m	Long-term loans to subsidiary undertakings £m	Other unlisted investments £m	Share of joint ventures £m	Total £m
GROUP					
At 26 December 2004	–	–	8.0	0.1	8.1
Additions	–	–	–	1.2	1.2
Losses for the period	–	–	–	(1.5)	(1.5)
Exceptional gain on disposal of joint ventures (note 5)	–	–	–	1.0	1.0
AT 24 DECEMBER 2005	**–**	**–**	**8.0**	**0.8**	**8.8**
COMPANY					
At 26 December 2004	8.8	817.2	6.0	–	832.0
Additions	7.1	99.3	1.2	–	107.6
Impairment	–	(250.0)	–	–	(250.0)
Disposals	(13.4)	–	(7.1)	–	(20.5)
AT 24 DECEMBER 2005	**2.5**	**666.5**	**0.1**	**–**	**669.1**

Other unlisted investments of £0.1m in the Company balance sheet comprise investments in joint ventures.

The joint venture net assets have not been grossed up on the face of the balance sheet as the amounts are not yet material. Gross assets at 24 December 2005 totalled £7.1m (2004: £2.8m) and gross liabilities totalled £7.0m (2004: £1.9m).

Details of principal subsidiary undertakings are given on page 95.

14. STOCKS

	Group	
	24 Dec 2005 £m	26 Dec 2004 £m
Raw materials	**13.3**	16.1
Work in progress	**6.3**	9.1
Finished goods and goods for resale	**153.9**	213.2
	173.5	238.4

The replacement cost of stock is not materially different from its balance sheet value.

15. DEBTORS

	Group		Company	
	24 Dec 2005 £m	25 Dec 2004 £m	24 Dec 2005 £m	25 Dec 2004 £m
Trade debtors	78.9	98.0	4.1	–
Amounts owed by subsidiary undertakings	–	–	98.6	33.4
Other debtors (note 5)	23.1	3.1	–	0.1
Corporation tax	–	–	7.0	10.0
Prepayments and accrued income	32.5	56.3	–	0.7
Total amounts falling due within one year	134.5	157.4	109.7	44.2
VAT debtor due after more than one year (note 5)	–	60.5	–	60.5
Total debtors	134.5	217.9	109.7	104.7

16. CURRENT ASSET INVESTMENTS

	Group	
	24 Dec 2005 £m	25 Dec 2004 £m
Money fund deposits	5.5	9.4

This comprises amounts held in escrow accounts to cover potential insurance liabilities.

17. CREDITORS: AMOUNTS FALLING DUE WITHIN ONE YEAR

	Group		Company	
	24 Dec 2005	25 Dec 2004	24 Dec 2005	25 Dec 2004
Trade creditors	73.4	154.5	–	–
Corporation tax	0.9	4.6	–	–
Other taxation and social security	33.2	24.0	2.0	3.2
Other creditors	19.7	20.0	–	–
Accruals and deferred income	118.8	144.6	3.4	1.1
Proposed dividends	–	11.6	–	11.6
	246.0	359.3	5.4	15.9

18. CREDITORS: AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR

	Group		Company	
	24 Dec 2005 £m	25 Dec 2004 £m	24 Dec 2005 £m	25 Dec 2004 £m
Bank loans	150.0	100.0	150.0	100.0

On 17 February 2006 the Group refinanced its medium-term debt and replaced it with a new 3.25 year secured facility.

19. DERIVATIVES AND OTHER FINANCIAL INSTRUMENTS

A discussion of treasury policy is given in the Operating and financial review on pages14 to 23. Short-term debtors and creditors have been excluded from all the following disclosures, other than currency risk disclosures.

	Group		Company	
	24 Dec 2005 £m	25 Dec 2004 £m	24 Dec 2005 £m	25 Dec 2004 £m
Borrowings				
Loans or instalments payable between two and five years	150.0	100.0	150.0	100.0

MATURITY OF OTHER FINANCIAL LIABILITIES

	24 Dec 2005 £m	25 Dec 2004 £m
Amounts falling due:		
In one year or less or on demand	–	–

CURRENCY AND INTEREST RATE RISK PROFILE OF BORROWINGS IN STERLING

	Total £m	Floating rate £m	Fixed rate £m	Weighted average fixed interest rate %	Weighted average period for which rate is fixed Years
AT 24 DECEMBER 2005	150.0	150.0	–	–	–
At 25 December 2004	100.0	100.0	–	–	–

The interest on floating rate borrowings is based on LIBOR and is fixed in advance for periods of up to six months.

19. DERIVATIVES AND OTHER FINANCIAL INSTRUMENTS (CONTINUED)

The following summary shows the Group's currency exposures that give rise to currency gains and losses recognised in the profit and loss account, arising from exposures where monetary assets and liabilities of the Group are not denominated in the operating currency of the subsidiary company concerned.

NET FOREIGN MONETARY LIABILITIES

	24 Dec 2005					25 Dec 2004				
Functional currency of entity	Euro £m	US Dollar £m	Yen £m	Others £m	Total £m	Euro £m	US Dollar £m	Yen £m	Others £m	Total £m
Sterling	(6.5)	(0.5)	(2.7)	(0.5)	(10.2)	(33.3)	(1.4)	(1.4)	(0.8)	(36.9)

CURRENCY AND INTEREST RATE RISK PROFILE OF FINANCIAL ASSETS

	24 Dec 2005			25 Dec 2004		
	Cash at bank and in hand £m	Short-term deposits £m	Total £m	Cash at bank and in hand £m	Short-term deposits £m	Total £m
Sterling	75.7	5.5	81.2	19.9	9.4	29.3
Euro	11.6	–	11.6	7.6	–	7.6
US Dollars	1.7	–	1.7	0.9	–	0.9
	89.0	5.5	94.5	28.4	9.4	37.8

All cash and deposits earn floating rate interest based on relevant national LIBID equivalents.

PRIMARY FINANCIAL INSTRUMENTS HELD OR ISSUED TO FINANCE THE GROUP'S OPERATIONS

	24 Dec 2005		25 Dec 2004	
	Book value £m	Fair value £m	Book value £m	Fair value £m
Cash at bank and in hand*	89.0	89.0	28.4	28.4
Short-term deposits	5.5	5.5	9.4	9.4
Medium and long-term borrowings	(150.0)	(150.0)	(100.0)	(100.0)

* Cash at bank and in hand is after netting off cash book overdrafts with cash book balances held at the same bank.

DERIVATIVE FINANCIAL INSTRUMENTS HELD TO MANAGE THE CURRENCY PROFILE

	24 Dec 2005		25 Dec 2004	
	Book value £m	Fair value £m	Book value £m	Fair value £m
Foreign currency forward contracts	–	(0.9)	–	(1.3)

Other financial liabilities, short-term borrowings, cash at bank and in hand and short-term deposits: the fair value approximates to the carrying value due to the short maturity periods of these financial instruments. Medium and long-term borrowings: the fair value is based on market values or where these are not available, on the quoted market price of comparable debt issued by other companies.

The unrealised loss on forward foreign exchange contracts as at 24 December 2005 amounted to £0.9m (25 December 2004: unrealised loss of £1.3m). All contracts arose during the current year. All of the unrecognised loss shown at 24 December 2005 is expected to be realised in the following financial year (2004: expected to be realised in the following financial year). The Group recognised realised profits on forward foreign currency contracts in 2005 of £0.2m.

20. PROVISIONS FOR LIABILITIES AND CHARGES

	Pension provision £m	Property provision £m	Deferred taxation (note 8) £m	Total £m
At 25 December 2004	7.4	0.7	9.3	17.4
Removed on adoption of FRS 17	(7.4)	–	3.5	(3.9)
At 25 December 2004 – restated	–	0.7	12.8	13.5
Created in the period	–	0.5	–	0.5
Utilised in the period	–	–	(4.4)	(4.4)
AT 24 DECEMBER 2005	**–**	**1.2**	**8.4**	**9.6**

The £8.0m charge for deferred tax included in note 8 is made up of the £4.4m credit to the deferred tax provision above, offset by a £12.4m charge from the deferred tax asset of the pension deficit. The £12.4m relates to the £45.0m exceptional credit, as well as the difference between the pension charge for the year and the contributions paid.

The property provision represents provision for future rental payments on properties no longer used by the Group.

The deferred taxation liability is analysed as follows:

	24 Dec 2005 £m	25 Dec 2004 £m
Accelerated capital allowances	11.2	18.3
Other timing differences	(2.8)	(5.5)
	8.4	12.8

The deferred tax asset in respect of timing differences includes assets in respect of share scheme costs, pension costs and losses not currently utilised.

The timing differences in respect of property revaluation surpluses amounting to £4.0m (2004: £6.5m), and gains on the sale of assets which have been rolled over into replacement assets, are covered by capital losses. No timing difference has been recognised for the benefit of overseas tax losses amounting to £nil (2004: £4.2m).

21. CALLED UP SHARE CAPITAL

ORDINARY SHARES OF 10P EACH

	Number	£m
AUTHORISED		
At the beginning and end of the period	775,152,000	77.5

ALLOTTED, CALLED UP & FULLY PAID

	Number	£m
At 25 December 2004	623,170,181	62.3
Issued during the period	4,128,700	0.4
AT 24 DECEMBER 2005	**627,298,881**	**62.7**

At 24 December 2005 the following (new issue) options were in existence:

Share scheme	Date granted	No. of options	Exercise price	Option period
Executive share options	2-Jul-96	110,704	180p	July 1999 – July 2006
	5-Mar-99	785,000	35p	Mar 2002 – Mar 2006
	6-Sep-99	705,000	39p	Sept 2002 – Sept 2006
	27-Sep-99	488,184	42p	Sept 2002 – Sept 2009
	28-Sep-00	280,000	62.75p	Sept 2003 – Sept 2010
	13-Nov-00	30,000	56p	Nov 2003 – Nov 2010
	15-Jan-01	50,000	79.25p	Jan 2004 – Jan 2011
	14-May-01	160,000	123p	May 2004 – May 2011
	29-Sep-03	213,615	181p	Sept 2006 – Sept 2013
	8-Dec-04	124,877	116.5p	Dec 2007 – Dec 2014
Performance options	19-May-00	2,946,429	68.25p	May 2003 – May 2010
	30-May-01	2,615,231	124.75p	May 2004 – May 2011
	12-Jun-01	27,004	131.5p	June 2004 – June 2011
	26-Jul-02	4,255,248	114p	July 2005 – July 2012
Sharesave options	30-Oct-03	3,164,167	184p	Dec 2008 – May 2009

21. CALLED UP SHARE CAPITAL (CONTINUED)

	Date granted	As at 25 Dec 2004	Options lapsed	Options granted	Options exercised	As at 24 Dec 2005
Executive share options	3-Jul-95	276,800	(276,800)	–	–	–
	2-Jul-96	110,704	–	–	–	110,704
	1-Jul-98	383,019	(110,319)	–	(272,700)	–
	5-Mar-99	785,000	–	–	–	785,000
	6-Sep-99	705,000	–	–	–	705,000
	27-Sep-99	1,398,352	–	–	(910,168)	488,184
	28-Sep-00	392,192	–	–	(112,192)	280,000
	13-Nov-00	136,429	–	–	(106,429)	30,000
	22-Dec-00	200,146	–	–	(200,146)	–
	15-Jan-01	392,146	–	–	(342,146)	50,000
	20-Mar-01	128,996	–	–	(128,996)	–
	14-May-01	160,000	–	–	–	160,000
	30-Sep-02	128,215	(128,215)	–	–	–
	29-Sep-03	213,615	–	–	–	213,615
	8-Dec-04	124,877	–	–	–	124,877
		5,535,491	(515,334)	–	(2,072,777)	2,947,380
Performance options	19-May-00	4,184,469	–	–	(1,238,040)	2,946,429
	22-Dec-00	817,883	–	–	(817,883)	–
	30-May-01	3,446,895	(831,664)	–	–	2,615,231
	12-Jun-01	27,004	–	–	–	27,004
	26-Jul-02	666,666	(666,666)	–	–	–
	26-Jul-02	9,416,428	(5,161,180)	–	–	4,255,248
		24,094,836	(7,174,844)	–	(4,128,700)	12,791,292
Sharesave options	30-Oct-03	4,519,219	(1,355,052)	–	–	3,164,167
		28,614,055	(8,529,896)	–	(4,128,700)	15,955,459

During the year the share price ranged from 65.25p to 143.0p. At 24 December 2005 the share price was 78.5p.

EMPLOYEE SHARE SCHEMES

The Company maintains three employee share ownership trusts, which hold shares in MFI Furniture Group Plc. These are summarised as follows:

Name of Trust	Shareholding (number of shares)	Value on 24 Dec 2005 £000	Dividends waived
MFI Employees Share Trust	30,370,240	23,841	Yes
MFI Employee Benefit Trust	190,000	149	No
MFI FreeShare Trust	2,297,425	1,803	No
Individual nominee accounts	9,283,497	7,288	Some

As at 24 December 2005, 88% of the above shares were allocated to existing options and awards.

21. CALLED UP SHARE CAPITAL (CONTINUED)

EMPLOYEE SHARE SCHEMES (CONTINUED)

The trusts have been funded by the employing companies in the Group to acquire shares in MFI Furniture Group Plc. The cost of running these trusts is included in the profit and loss account. The Trusts undertake the following activities:

MFI EMPLOYEE SHARE TRUST

- to transfer shares to executive directors when shares vest under MFI share plans.
- to transfer share to employees on exercise of various options and awards granted under MFI share plans.

MFI EMPLOYEE BENEFIT TRUST

- to transfer shares to employees under the MFI Group Profit Sharing Trust.

MFI FREESHARE TRUST

- to transfer shares to employees when shares vest under the MFI FreeShare Plan.

22. RESERVES

GROUP

	Share capital £m	Share premium account £m	Revaluation reserve £m	ESOP reserve £m	Other reserves £m	Profit and loss account £m
As at 25 December 2004	62.3	77.2	21.8	(55.1)	28.1	286.5
Restatement on adopting FRS 17 (note 23)	–	–	–	–	–	(202.3)
As at 25 December 2004 restated	62.3	77.2	21.8	(55.1)	28.1	84.2
Retained loss for the period	–	–	–	–	–	(130.4)
Movement on pension deficit	–	–	–	–	–	(29.9)
Shares issued	0.4	4.1	–	–	–	(1.8)
Net movement on ESOP reserve	–	–	–	0.1	–	–
Realised revaluation profit	–	–	(8.5)	–	–	8.5
Foreign exchange	–	–	–	–	–	(0.2)
AS AT 24 DECEMBER 2005	**62.7**	**81.3**	**13.3**	**(55.0)**	**28.1**	**(69.6)**

22. RESERVES (CONTINUED)

The cumulative amount of goodwill written off against Group profit and loss account reserves in respect of acquisitions prior to 24 April 1999 when FRS 10 'Goodwill and intangible assets' was adopted amounts to £504.6m (25 December 2004: £504.6m). Other reserves represent a special reserve of £482.6m less goodwill arising on consolidation of £454.5m.

COMPANY

	Share premium account £m	ESOP reserve £m	Special reserve £m	Profit and loss account £m
At 25 December 2004	77.2	(16.9)	482.6	218.7
Transferred to subsidiary company	–	16.9	–	–
Retained loss for the period	–	–	–	(164.2)
Shares issued	4.1	–	–	–
AT 24 DECEMBER 2005	**81.3**	**–**	**482.6**	**54.5**

The loss after tax for the financial period in the Financial Statements of the Company was £152.4m (2004: profit £3.4m). The Special reserve created as a result of a capital reduction in November 1993 is now distributable.

23. PENSIONS

The Group has adopted FRS 17 'Retirement benefits' in full with effect from 26 December 2004. On adopting FRS 17, we are required to change the accounting treatment of our defined benefit pension schemes. Under FRS 17 we are required to include the assets and liabilities of these schemes on the Group balance sheet. Current service costs, curtailment and settlement gains and losses, and net financial returns are included in the profit and loss account in the period to which they relate. Actuarial gains and losses are included in the statement of total recognised gains and losses.

We are required to show the effect of adopting FRS 17 retrospectively and so we have restated our comparative figures as shown below:

GROUP PROFIT AND LOSS ACCOUNT

	Profit on ordinary activities before interest £m	Net interest receivable/ (payable) £m	Profit for the financial period £m
52 WEEKS TO 25 DECEMBER 2004			
As previously stated	27.3	(2.3)	10.5
Effect of adopting FRS 17	1.0	(5.4)	(3.1)
As restated	28.3	(7.7)	7.4

23. PENSIONS (CONTINUED)

GROUP BALANCE SHEET

	Gross pension provision (included in provisions for liabilities & charges) £m	Net pension liabilities £m	Profit and loss reserve £m
At 25 DECEMBER 2004			
As previously stated	(7.4)	–	286.5
Effect of adopting FRS 17	7.4	(206.2)	(202.3)
As restated	–	(206.2)	84.2

The Group operates two funded schemes, which provide benefits based on the final pensionable pay of participating employees. The assets of the schemes are held separately from those of the Group, being invested with independent fund managers. Contributions are charged to the consolidated profit and loss account so as to spread the cost of pensions over employees' working lives with the Group. The charges are determined by a qualified actuary on the basis of triennial valuations using the projected unit method. The most recent valuations of the schemes were at 6 April 2005.

The actuarial valuation of the schemes as at 6 April 2005 was updated to 24 December 2005 by an independent qualified actuary on a basis consistent with the requirements of FRS 17 and is reported below. It showed that the market value of the schemes' assets was £412m and that the actuarial value of these assets represented 58% of the benefits that had accrued to members. The weighted average major assumptions used for this update were:

	24 Dec 2005	25 Dec 2004	27 Dec 2003
Rate of increase in salaries	3.9%	3.9%	3.0%
Rate of increase in pensions in payment (pre 6 April 1997)	3.0%	3.0%	3.0%
Rate of increase in pensions in payment (post 6 April 1997)	2.9%	2.9%	2.5%
Discount rate	4.8%	5.4%	5.5%
Inflation assumption	2.9%	2.9%	2.5%

The base tables used for mortality in retirement are PMA92 and PFA92. These tables can be projected forward to allow for expected future improvements in mortality. For current pensioners in the scheme, the tables have been projected forward to 2015. For future pensioners, the tables have been projected forward to 2025.

The following table shows the future life expectancies in years for males and females at the age of 65, in line with the mortality assumptions adopted.

		Age 65
Future pensioners	Males	21.6
	Females	24.4
Current pensioners	Males	20.9
	Females	23.7

23. PENSIONS (CONTINUED)

The fair value of the assets in the schemes, the present value of the liabilities in the schemes and the expected weighted average rate of return at each balance sheet date were:

	24 December 2005		25 December 2004		27 December 2003	
	Long-term rate of expected return	Value £m	Long-term rate of expected return	Value £m	Long-term rate of expected return	Value £m
Equities	7.30%	331.2	8.00%	225.5	8.00%	212.3
Bonds	4.60%	77.2	5.00%	65.2	5.00%	55.1
Cash	4.50%	3.3	4.75%	24.9	3.75%	8.5
Total market value of assets		411.7		315.6		275.9
Present value of scheme liabilities		(707.7)		(610.2)		(465.0)
Deficit in the scheme		(296.0)		(294.6)		(189.1)
Related deferred tax asset		88.8		88.4		56.7
Net pension scheme liability		(207.2)		(206.2)		(132.4)

	24 Dec 2005 £m	25 Dec 2004 £m
ANALYSIS OF THE AMOUNT THAT HAS BEEN CHARGED TO OPERATING PROFIT UNDER FRS 17		
Current service cost	24.2	15.0
Past service credit	(45.0)	–
Total operating charge	(20.8)	15.0
ANALYSIS OF THE AMOUNT THAT HAS BEEN CHARGED TO NET FINANCE INCOME UNDER FRS 17		
Expected return on pension scheme assets	23.7	20.7
Interest on pension scheme liabilities	(32.5)	(26.1)
Net return	(8.8)	(5.4)

	24 Dec 2005 £m	25 Dec 2004 £m	27 Dec 2003 £m
ANALYSIS OF THE ACTUARIAL LOSS THAT HAS BEEN RECOGNISED IN THE STATEMENT OF TOTAL RECOGNISED GAINS AND LOSSES			
Actual return less expected return on pension scheme assets	39.6	1.9	26.6
Experience gains and losses arising on the scheme liabilities	22.9	3.6	(19.1)
Changes in assumptions underlying the present value of the scheme liabilities	(105.5)	(105.6)	(13.6)
Actuarial loss that has been recognised in the STRGL	(43.0)	(100.1)	(6.1)

23. PENSIONS (CONTINUED)

	24 Dec 2005 £m	25 Dec 2004 £m	27 Dec 2003 £m
ANALYSIS OF THE MOVEMENT IN THE SCHEME DEFICIT DURING THE YEAR			
Deficit as at start of year	(294.6)	(189.1)	(179.5)
Total operating charge	(24.2)	(15.0)	(10.6)
Contributions	29.6	15.0	14.2
Net return	(8.8)	(5.4)	(7.1)
Past service credit in respect of NRD issue	45.0	–	–
Actuarial loss recognised in the STRGL	(43.0)	(100.1)	(6.1)
Deficit as at end of year	(296.0)	(294.6)	(189.1)

	24 Dec 2005 £m	25 Dec 2004 £m	27 Dec 2003 £m	28 Dec 2002 £m
HISTORY OF THE WEIGHTED AVERAGE EXPERIENCE GAINS AND LOSSES				
Difference between actual and expected returns on scheme assets:				
Amount (£m)	39.6	1.9	26.6	(65.6)
% of scheme assets	10%	1%	10%	(30%)
Experience gains and losses on scheme liabilities:				
Amount (£m)	22.9	3.6	(19.1)	13.5
% of present value of scheme liabilities	3%	1%	(4%)	3%
Total actuarial loss recognised in the statement of total recognised gains and losses:				
Amount (£m)	(43.0)	(100.1)	(6.1)	(94.4)
% of present value of scheme liabilities	(6%)	(16%)	(1%)	(24%)

24. CONSOLIDATED CASH FLOW STATEMENT

A. RECONCILIATION OF OPERATING (LOSS)/PROFIT TO OPERATING CASH FLOWS

	24 Dec 2005 £m	25 Dec 2004 (restated) £m
Operating profit before exceptional items	12.0	64.3
Depreciation and amortisation charge	66.1	57.8
	78.1	122.1
Decrease/(increase) in stocks	21.3	(42.7)
Decrease/(increase) in debtors	43.7	(15.4)
(Decrease)/increase in creditors and provisions	(94.7)	45.3
Adjustment for pensions movements	(5.2)	–
Net cash inflow – pre-exceptional operating activities	43.2	109.3
Net cash outflow – operating exceptionals	(18.2)	(28.1)
Net cash outflow – operating exceptionals expensed in prior year	(1.0)	–
Net cash outflow – VAT paid re: Structural guarantee	–	(14.5)
NET CASH INFLOW FROM OPERATING ACTIVITIES	24.0	66.7
Net cash inflow from operating activities comprises:		
Continuing operating activities	10.8	60.7
Dis-continued operating activities	13.2	6.0
	24.0	66.7

B. ANALYSIS OF CASH FLOWS FOR HEADINGS NETTED IN THE CASH FLOW STATEMENT

	24 Dec 2005 £m	25 Dec 2004 (restated) £m
RETURNS ON INVESTMENTS AND SERVICING OF FINANCE		
Interest received	4.1	2.0
Interest paid	(6.4)	(3.4)
Net outflow on investments and servicing of finance	(2.3)	(1.4)
CAPITAL EXPENDITURE AND FINANCIAL INVESTMENT		
Payments to acquire tangible fixed assets	(47.9)	(82.8)
Receipts from sales of tangible fixed assets	57.4	8.2
Investment in joint ventures	(1.2)	(1.1)
Net inflow/(outflow) for capital expenditure and financial investment	8.3	(75.7)
FINANCING		
Shares issued	2.7	2.2
Payment to acquire own shares	1.0	(7.6)
Other increase in bank finance	50.0	50.0
Net inflow from financing	53.7	44.6

24. CONSOLIDATED CASH FLOW STATEMENT (CONTINUED)

C. ANALYSIS OF NET (DEBT)/FUNDS

	Cash at bank £m	Bank loans £m	Net debt £m	Current asset investments £m	Total net (debt)/funds £m
As at 27 December 2003	48.8	(50.0)	(1.2)	11.8	10.6
Cash flow	(20.3)	(50.0)	(70.3)	(2.4)	(72.7)
Exchange difference	(0.1)	–	(0.1)	–	(0.1)
As at 25 December 2004	28.4	(100.0)	(71.6)	9.4	(62.2)
Cash flow	60.8	(50.0)	10.8	(3.9)	6.9
Exchange difference	(0.2)	–	(0.2)	–	(0.2)
AS AT 24 DECEMBER 2005	**89.0**	**(150.0)**	**(61.0)**	**5.5**	**(55.5)**

25. CONTINGENT LIABILITIES

	Company	
	24 Dec 2005 £m	25 Dec 2004 £m
Group VAT registration cross guarantee	19.0	10.3

Members of the Group have assigned UK property leases in the normal course of business. Should the assignees fail to fulfil any obligations in respect of these leases, members of the Group may be liable for those defaults. The number of such claims arising to date has been small and the cost, which is charged to profit and loss as it arises, has not been material.

The parent company has guaranteed a US$10.0m letter of credit facility from Standard Chartered Bank in favour of MFI Asia Limited suppliers.

26. FINANCIAL COMMITMENTS

GROUP

Capital commitments

The estimated amount of capital expenditure contracted for, and for which no provision has been made in the financial statements, is as follows:

	24 Dec 2005 £m	25 Dec 2004 £m
Contracted for	3.6	2.6

26. FINANCIAL COMMITMENTS (CONTINUED)

Leasing commitments

At 24 December 2005, the annual commitments under operating leases were as set out below:

	Land & buildings		Other assets	
	24 Dec 2005 £m	25 Dec 2004 £m	24 Dec 2005 £m	25 Dec 2004 £m
Operating leases which expire:				
Within one year	1.3	2.9	4.5	4.3
Between one and five years	7.7	10.2	8.6	9.1
After five years	94.4	87.6	2.8	1.7
	103.4	100.7	15.9	15.1

COMPANY

The parent company had no capital or leasing commitments at 24 December 2005 (2004: £ nil).

27. RELATED PARTY TRANSACTIONS

In December the Group announced the sale of its 50% interest in its Taiwan joint venture to its Taiwanese partner and announced the closure of the UK joint venture with Ethan Allen. A closure programme for the two Ethan Allen stores is in place and we expect it to be finished by March 2006. The sale of the Group 50% interest in its Taiwan joint venture to its Taiwanese partner was completed in December 2005.

28. POST BALANCE SHEET EVENTS

On 13 February 2006 the Group completed on the sale of Hygena Cuisines for proceeds of £92.4m. The impact on the profit is shown on pages 56 to 57. The impact on the cash flow is shown in note 24.

On 17 February 2006 the Group refinanced its medium-term debt and replaced it with a new 3.25 year secured facility.

Five year record

	Dec 2005 52 weeks £m	Dec 2004 52 weeks £m	Dec 2003* 52 weeks £m	Dec 2002* 52 weeks £m	Dec 2001* 52 weeks £m
SUMMARISED PROFIT AND LOSS ACCOUNT					
Turnover – Continuing operations	1,418.9	1,395.2	1,367.3	1,193.2	993.8
Turnover – Discontinued operations	133.3	119.4	114.2	94.2	84.2
	1,552.2	1,514.6	1,481.5	1,287.4	1,078.0
Operating profit – Continuing operations	(98.6)	30.8	105.3	77.5	54.2
Operating profit – Discontinued operations	3.9	1.6	0.3	2.3	3.0
Share of joint venture operating loss	(1.5)	(2.1)	(2.1)	(2.0)	(0.9)
	(96.2)	30.3	103.5	77.8	56.3
(Loss)/profit on ordinary activities before taxation	(110.8)	20.6	117.9	80.8	58.8
Dividend per share (pence)	2.0	4.0	3.8	3.1	2.5
Basic (loss)/earnings per share – restated (pence)	(20.2)	1.3	15.4	10.2	7.2
Basic (loss)/earnings per share before exceptional items – restated (pence)	(0.9)	5.5	12.9	10.2	7.9
SUMMARISED BALANCE SHEET					
Total fixed assets	271.1	403.4	410.6	381.5	309.5
Stock	173.5	238.4	195.7	177.1	128.7
Debtors	134.6	217.9	187.9	124.0	111.0
Creditors and provisions	(255.6)	(372.8)	(357.6)	(339.4)	(244.0)
Pension liability	(207.2)	(206.2)	–	–	–
	(154.7)	(122.7)	26.0	(38.3)	(4.3)
Net (borrowings)/cash	(55.5)	(62.2)	10.6	38.9	51.5
Total net assets	60.9	218.5	447.2	382.1	356.7

* Not restated for FRS 17.

FIVE YEAR RECORD (CONTINUED)

	Dec 2005 £m	Dec 2004 £m	Dec 2003 £m	Dec 2002 £m	Dec 2001 £m
NUMBER OF OUTLETS AT END OF YEAR					
Out-of-town	194	195	191	191	189
High street	21	22	22	26	20
Hygena @ Currys	–	136	134	124	112
Sofa Workshop	29	29	29	26	–
Ethan Allen	2	2	2	2	–
Howden Joinery	342	320	300	269	228
Howden Millwork	20	15	15	12	–
Houdan France	11	–	–	–	–
Taiwan	–	14	13	14	4
France	138	139	135	133	124
SHOWROOM AREA AT END OF YEAR ('000 SQ FT)					
Out-of-town	4,249	3,923	3,872	3,933	3,939
High street	95	96	96	119	85
Hygena @ Currys	–	169	160	150	125
Sofa Workshop	119	119	114	103	–
Ethan Allen	27	27	24	24	–
Taiwan	–	46	49	52	14
France	513	524	507	498	480

Shareholder information

	Shareholders		Shareholding	
Shareholding range	Number	%	Number	%
1 – 1,000	7,730	64.8	3,505,588	0.6
1,001 – 5,000	2,888	24.2	7,217,771	1.1
5,001 – 10,000	591	5.0	4,463,336	0.7
10,001 – 50,000	376	3.1	8,521,841	1.4
50,001 – 100,000	73	0.6	5,398,255	0.9
100,001 – 250,000	91	0.8	15,284,001	2.4
Over 250,000	183	1.5	582,908,089	92.9
	11,932	100.0	627,298,881	100.0

Parent company and principal subsidiary undertakings

At 24 December 2005

	COUNTRY OF REGISTRATION OR INCORPORATION
PARENT COMPANY	
MFI Furniture Group Plc	England and Wales
INTERMEDIATE HOLDING COMPANY	
* Orchardlight Limited	England and Wales
PRINCIPAL SUBSIDIARY UNDERTAKINGS	
TRADING:	
MFI UK Limited	England and Wales
Howden Joinery Limited	*England and Wales*
Sofa Workshop Limited	England and Wales
PROPERTY MANAGEMENT:	
MFI Properties Limited	*England and Wales*
FINANCE:	
MFI Financial Services Limited	England and Wales
* *Southon Insurance Company Limited*	*Guernsey*
JOINT VENTURES	
MFI Asia Limited	Hong Kong

The Company ultimately owns 100% of the ordinary share capital of the above mentioned companies. The investment in the company marked with an asterisk is owned directly by the Company.

We have taken advantage of the exemption provided in section 231(5)(a) of the Companies Act 1985 for those undertakings whose financial position do not principally affect the figures in the Company's individual accounts or the Group accounts.

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